The Five Boxes Series · Book Two

The Fourth Box

Why Some Businesses Can't Be Taken

Copyright

◆ The Fourth Box

Why Some Businesses Can't Be Taken The Five Boxes Series · Book Two

First English edition, 2026. Translated and adapted from the Korean edition 『돈의 해부학 2』

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Every figure in this book is one that could be checked in a public source. Where a number could not be confirmed, it was left out rather than estimated. The distinction between *cross-checked* and *verified* is set out in How to Read This Book, and it is not a small one.

How to Read This Book

◆ You don't need to have read Book One

This is the second book of the Five Boxes series. You can start here. Everything required is on this page.

Book One broke a business into five questions.

	The question	One word
1	Who actually pays?	**Customer**
2	What are they paying for?	**Value**
3	How, and when, does the money arrive?	**Payment**
4	Why hasn't anyone taken it?	**Moat**
5	Where does it break?	**Fault Line**

We call these five **the Five Boxes.**

The first three ask *how it earns right now.* The last two ask *whether it gets to keep earning.*

◆ This book digs into the last two only

Box four and box five are **the boxes made of time,** because they ask why this company hasn't been taken yet and when it could be.

Book One had to fill all five boxes, so it never went deep into these two. This book does nothing else. Hence the subtitle: *Why Some Businesses Can't Be Taken.*

No new box has been added. **There is no sixth box.** Using the same five more deeply is the whole job of this book.

◆ How it's built

Part	What's in it
Opening	What is different about companies that last
Grading Book One	Eighteen predictions from Book One, checked
Part One (1–5)	The five types of moat
Part Two (6–10)	The five paths a business breaks along
Part Three (11–13)	Why companies don't live long
Part Four (14–17)	**So what do you build — design and execution**
Closing	The moats you can actually build

Parts One through Three are diagnosis. Part Four is design.

The first three parts cover how to take somebody else's company apart. Part Four turns the tool around and points it **at building.**

Train only the eye that finds weaknesses and you'll end up unable to make anything, because every idea will show you a blank.

Part Four is about using those blanks **as an order of operations rather than as a checkpoint that stops you.**

The last chapter is a ninety-day plan with dates on it.

There's a reason the grading section sits ahead of the main text.

Before judging other people's companies, **the author's own judgment should be checked first.** That seemed like the right order.

In that section the author was wrong three times, and all three times in the same place. That discovery changed how Parts One and Two are written.

◆ Where Book One's promised thirty-six cases appear

The thirty-six cases named in Book One's sequel section are all here, and one more joined them along the way.

They are not given a chapter each. They're **distributed across the moat types and the fault line paths.**

Grouping by structure rather than by industry is what makes it visible that the five boxes don't care what industry you're in.

Inside one chapter you'll find semiconductors next to farm equipment, and fishmeal next to soft drinks.

Ch	Cases
1 · Economies of scale	Shein · Thai Union · Peruvian fishmeal · Coca-Cola concentrate
2 · Network effects	Shopify · M-PESA · OpenTable
3 · Switching costs	Adobe · NVIDIA · John Deere · Topgolf

Ch	Cases
4 · Intangible assets	Aman Resorts · Zespri · Yubari melons · Switzerland
5 · Cost advantage	Cloudflare · In-N-Out · capsule hotels · Motel 6
6 · Regulation changes	Robinhood · Grameen Bank · Estonia · Ireland
7 · Technology substitutes	Conveyor sushi · citizenM · Driscoll's
8 · Customers move	Dollar Shave Club · Liquid Death · Peloton
9 · Suppliers revolt	Nubank · Maine lobster · Manchester United
10 · Growth breaks it	Haidilao · Chipotle · IKEA · the NBA in China · Icelandic tourism

◆ Numbers and sources

The same principle as Book One.

> **A number that couldn't be confirmed doesn't go in.**

Wherever a number was needed, the source to check was written down first. Anything that stayed unconfirmed was deleted as a whole sentence.

Which is why some passages describe a direction rather than an exact amount.

Something has to be said honestly here.

The fact-checking in this book was done by **cross-checking published reporting and announcements against each other.**

It did not get as far as opening filings and court decisions one by one and comparing the originals.

So it was handled this way.

- Where the cross-check contradicted the manuscript, **the manuscript was changed.** Nine places were changed.

- Numbers with no supporting basis were **deleted.** Four of them, one of which was a chapter subheading.
- Anything that didn't contradict was treated **not as "true" but as "no evidence of being wrong turned up."**

That distinction is the most important one in this book.

Cross-checked and verified are different things.

The moment you call them by the same name, you are doing the exact thing this book criticizes Book One for while grading it.

There's one more rule in this book. **The grading rule.**

> **You don't invent the reason after you know the outcome.**

Knowing the outcome makes everything read as though it had been announced in advance.

So the sentences from Book One are quoted **unchanged,** and the outcome is attached afterward.

Reverse that order and it stops being grading and becomes hindsight.

◆ How to read it

Read it in order, or pick the types that interest you. Each chapter stands on its own.

If you're in a hurry, **the summary table** at the end of each chapter will do.

Line up ten of those tables and you have the map of five moat types and five fault line paths.

And every chapter ends with **Try It Yourself.**

Read it and close it and nothing remains. Writing down even one line is better.

Opening — What Is Different About Companies That Last?

◆ The list changes. The shop stays.

The list of the largest companies in the world turns over faster than you'd think.

How long a company stays on a major index once it gets there has shortened considerably compared with a few decades ago.

Over the same span, small shops nobody has heard of pass a hundred years and pass two hundred.

One of them is the most analyzed, best capitalized kind of organization on earth. The other is a neighborhood business selling the same thing across generations.

And the one that lasts is the second.

Isn't that strange? Why does the big, smart, well-funded side disappear faster?

◆ Book One was a photograph

Book One broke a business into five questions. Customer, value, payment, moat, fault line.

It pointed those five boxes at eighteen businesses and got an answer each time.

And every one of those answers was **an answer at one moment in time.**

Who pays now, what they're paying for now, why nobody has taken it yet. A single photograph.

There's a limit to what a photograph tells you.

You can see that the company is standing. You can't see whether it will be standing in ten years.

◆ This book is video

Book One's opening said this.

> The first three ask *how it earns right now*, and the last two ask *whether it gets to keep earning*.

Box four and box five were **the boxes made of time** from the start.

Book One just had five boxes to fill, so it gave those two a few paragraphs each and moved on.

This book digs into only those two.

Five moat types across five chapters, five fault line paths across five chapters, each followed to the end.

It's the work of splicing the photographs into video.

◆ From "it has a moat" to "here is the proof"

One more thing changes.

Book One said *this company has this kind of moat.*

Saying that is easy. A plausible reason can be attached to any company at all.

This book tries to prove it. And there is only one way to prove it.

Book One's Chapter 4 said this.

> **When there's a failed pursuer, the moat is proven.**

If somebody came for the same position and left without taking it, that moat is a fact rather than a claim.

The point Book One treated most thinly is the center of the argument here.

◆ And the author gets graded first

Before judging other people's companies, there's something to do.

Every chapter in Book One's Part Two had a section titled *Where does it break?*

For each of eighteen companies and countries, it named two or three weak points.

That was not description. It was prediction.

Time has passed, so grading is now possible.

Which is why the grading comes before the main text. The next section is that.

Stated up front: **the wrong ones were written first.**

And there were three of them, all wrong in the same place. That fact changed how this book is written.

◆ Where this book arrived

Having written two books and then graded one, one sentence is what remains.

> **The five boxes tell you what could break. They don't tell you when it breaks, or whether it breaks at all.**

So this book does not write *this company will collapse*.

It writes this instead.

> **This moat stands on this condition. If the condition changes, this follows.**

Write down the condition and the reader can watch it themselves. Write down the conclusion and the reader has no choice but to trust the author.

That difference is the only respect in which this book improves on Book One.

◆ Once you've read it

Back to the opening question. Why does the big company disappear faster?

Part Three handles the answer. Stated in advance, it's this.

The conditions that built the moat are usually the conditions of being small, and the process of getting big changes them.

Which means this book's final conclusion favors the person preparing to start something.

"You have to get big to last" does not hold.

So let's begin. First, the author's report card.

Was Book One Right?

◆ A book that writes down predictions should be graded

Every chapter in Book One's Part Two had a section titled *Where does it break?*

For each of eighteen companies and countries it named two or three weak points.

That was not description. It was **prediction.**

Business books write down predictions often. Grading those predictions later is not common.

Usually the author moves on to the next book, quotes the hits, and says nothing about the misses.

This book won't start that way. Before grading other people's companies, the author gets graded. **And the wrong ones come first.**

◆ The grading rules

Book One's manuscript was written largely from material published through 2024. This section tests those judgments against what happened in roughly the two years since.

Four rules.

- **Grade on primary sources only.** A news summary is not enough to write *called it.*
- **If it can't be confirmed, write "can't be judged."** That is also a result.
- **Don't invent the reason after knowing the outcome.** Quote Book One's sentence as written and attach the outcome to it. No rewriting the sentence.
- **No partial credit.** *Broadly right* is an excuse, not a grade.

◆ Wrong — the football league

Start with the biggest miss.

Book One's Chapter 17 said this.

> **Rights get split across too many services.** As more streaming operators enter and games scatter, viewers have to subscribe to several things. Some of them simply stop. Short-term rights income rises while the long-term viewing base gets cut away.

The opposite happened.

The 2025 regular season averaged roughly 18.7 million viewers, up about 10% year over year, making it the second most-watched regular season on record.[1]

The split-off portion did especially well. Thursday night games averaged about 15.3 million, the most-watched season in the package's twenty-year history, and a third consecutive year of double-digit growth.[2]

The prediction was that splitting would shed viewers. The split-off part grew more.

One caveat is attached. The 2025 season was the first under a changed measurement method, moving to a panel supplemented with tens of millions of device records.[1]

So some of the year-over-year increase may belong to the method change.

The conclusion that the prediction was wrong doesn't change. The prediction wasn't about up or down — it was that *the viewing base gets cut away.* By any measurement it wasn't cut.

Why was it wrong? **Box one was read incorrectly.**

Streaming operators were treated purely as *competitors dividing up the rights.*

To them the rights were bait. They paid to pull in subscribers, which gave them a reason to **grow** the audience.

And Book One already knew this structure.

Chapter 7, on music streaming, said this.

> **Competitors don't need to make money from this business.** To a company selling devices, or bundling other subscriptions, music can be bait.

What it failed to see was that the same structure works **in the league's favor** in football.

The author couldn't apply his own sentence from one chapter in another.

One part does survive, though. The same chapter also said this.

> The indicator to watch is not viewer count but **average watch duration and the age of new viewers.**

That indicator is not yet on the league's side.

Streaming viewers being younger on average than traditional broadcast viewers is confirmed,[2] and the age composition of the total audience still leans old.[3]

Wrong on the totals, and not yet wrong on the indicator this book said to watch.

But calling that *right in the end* would be improper. The prediction was *the viewing base gets cut away*, and so far it hasn't been.

◆ Wrong — the hotel brand

Book One's Chapter 14 said this.

> **Fees leak to online booking platforms.** (…) What was sold to the owner was the reservation network. If those reservations arrive from somebody else's platform, the reason to hang the sign shrinks. **The ground the moat stands on is what's moving.**

Across nearly a decade the booking platforms' share hasn't moved much. The conditions did move, though.

The same platform costs different amounts to different customers.

Large chains negotiate lower commission rates on the strength of volume. Independent hotels don't get a seat at that negotiation and pay close to the list rate.

On top of that, chains run their own direct booking channel alongside it and keep those costs far lower.[4]

Here's what Book One missed.

It expected the growth of booking platforms to lower the value of the brand. What actually happened is that **the side with no bargaining power got bitten harder.**

The chain extracts better terms with scale. The independent can't.

Which means, from an owner's point of view, the reason to hang the sign **increases.**

The threat did arrive. Who it hit hardest was got wrong.

◆ Wrong — motor racing

Book One's Chapter 18 said this.

> **The host can't pay, or won't.** Hosting fees are usually public money. (…) **That's the first risk in this business.**

Not so far. Hosting fee income in the 2025 season came to roughly $1 billion, more than a quarter of total revenue, and the series' overall revenue set a record.[5]

The ceiling of twenty-four races a year was already filled in 2025 and again the following year.[5]

Cities aren't backing out. They're lining up.

Declaring it "the first risk" went too far.

◆ Half — music streaming

Book One's Chapter 7 said this.

> Revenue rises and pressure to raise royalty rates rises with it, so profit stays where it was.

Profit did not stay where it was. Gross margin reached 33.4% in the second quarter of 2026, up from 31.5% a year earlier — the highest in the company's history.[6]

But this one is a little different, **because the escape route was written into the same section.**

> **It moves toward making its own.** More content with no royalty attached.

It did move that way. **The company's own stated reason for the margin increase is not that, though.**

The company leads with subscription revenue growing faster than music costs, and lists audiobooks and video podcasts on the cost side. In advertising it credits improvement on the podcast side.[6]

So "revenue with no royalty attached pushed the margin up" is a commentator's interpretation rather than the company's explanation. That line gets respected here.

One thing is clear. **Profit did not stay where it was.**

The structure was read right and the outcome was called wrong. Both the trap and the escape route were seen. The bet went on the trap.

◆ Half — the pizza franchise

Book One's Chapter 9 said this.

> **A middleman gets in between.** When a delivery platform takes the space between the consumer and the store, three things happen at once. Commission goes

> out, the order record doesn't accumulate, and the consumer opens the app before the brand. **The distribution channel is being taken.**

The middleman did arrive. A company that had insisted on its own delivery for decades listed on a delivery platform in 2023, and after the exclusivity ended in May 2025 it joined others too.[7]

And the channel wasn't taken.

Orders come through the platform and delivery is still performed in-house.

The platform got the entrance to demand. The last leg stayed.

The company set a revenue target for this channel and said it is winning customers it would not otherwise have reached.[7]

Book One treated this as **taken or not taken.**

It was actually a question of **which segment you give up and which you keep.**

A moat doesn't transfer whole. **It gets negotiated in pieces.**

◆ Right — semiconductor design

Book One's Chapter 8 listed two risks separately: the customer revolting, and a free alternative growing.

> **The customer is the competitor.** Large customers licensing the design build their own design capability. At some level they reduce the license or try to build it themselves.

The two predictions arrived **in a single event.**

A license dispute with one large customer was effectively settled when a court ruled for that customer in September 2025, and the designer appealed in October.[8]

And in December 2025, that customer acquired a company designing on the open instruction set architecture.[9]

It stepped toward the free alternative to reduce its license exposure.

Two risks written separately were, in reality, **one move.**

A direction Book One never looked at also came into view.

The designer releasing its own chips put it in competition with its own license customers, and **reporting emerged** that this became a subject of interest to US competition authorities.[10]

No authority announced it formally, so it is recorded here only as reporting.

Only the direction where the customer becomes a competitor was considered, not the direction where the company becomes the customer's competitor.

An action taken to defend a moat shakes the moat's own premise.

◆ Right — the coffee chain

Book One's Chapter 10 said this.

> **The ordering method eats the store experience.** More app orders and pickups mean faster turnover and higher revenue. The metrics improve. But when the store fills up with a waiting line and a pickup counter, the value called "a place to sit" is damaged. That's Chapter 5's growth trap. **The action that raises revenue is dismantling box two.**

The company reached the same diagnosis and reversed direction.

The chief executive who took over in autumn 2024 named the recovery plan *Back to the original*, and its content was shifting weight from digital-first growth back toward the store experience.

The focus is reducing congestion in stores and restoring space where people stay.[11]

The value is confirmed too. The recovery came. Comparable store sales returned to growth after seven quarters and kept growing after that.[11]

What matters is what produced that increase. Not price **— customer count.**

In the recovery phase, the transaction-count contribution to comparable sales growth exceeded the ticket contribution.[11]

People came back. Box two genuinely revived.

And over the same period, earnings per share fell sharply, because money went into store labor and restructuring costs were paid.[11]

Buying box two back cost money.

That's the other side of Book One's *the action that raises revenue dismantles box two.* Undoing what you dismantled means giving up profit.

◆ Right — the other five

The format repeats, so these go in a table.

Book One chapter	The prediction then	What was confirmed since
13 · Lodging intermediation	City-level regulation erases a city-level network entirely	One city is moving to abolish all tourist short-term rental licenses by 2028, and its constitutional court upheld it. More than ten thousand licenses are covered. Neighboring

Book One chapter	The prediction then	What was confirmed since
		municipalities in the same region face similar rules. Another city saw registrations fall sharply after regulation (80–90% depending on the count)[12]
11 · Payment network	Fee regulation · direct account transfers · large merchants revolting	All three arrived at once. A November 2025 interchange settlement created caps and merchant rights, and the instant payment rail's limit rose tenfold[13]
21 · Protected agriculture	Energy price is a condition the moat stands on	Analysis found a green gas blending obligation could

Book One chapter	The prediction then	What was confirmed since
		raise costs by up to 10%, and the government lowered the obligation, delayed it, and injected funds[14]
19 · City state	An international tax agreement is one no single country can dodge	The global minimum tax applied from 2025. This country chose to create and collect its own domestic top-up tax[15]
24 · Fishing quotas	When shares concentrate, a fee or a tax follows	A catch fee increase passed in July 2025 and took effect in November. It phases in at 85% in 2026, 95% in 2027,

Book One chapter	The prediction then	What was confirmed since
		and 100% thereafter[16]

Book One's Chapter 15 (energy drinks) goes here too. It said restrictions on sales to minors would increase.

Several countries already have them, one announced January 2026, another April 2027.[17]

That was less a prediction than a trend already in motion.

◆ Inverted — the outdoor brand

Book One's Chapter 16 said this.

> **More imitators make the distinction harder.** As the number of companies advertising sustainability grows, consumers find it harder to separate the real thing from the imitation. When that happens, the value of this company's long record falls.

The imitation did increase. **And then regulation arrived.**

A European directive governing unsubstantiated environmental claims applies from September 2026. Vague green language and offset-based "carbon neutral" claims are prohibited.[18]

Imitating now requires proof. That's a favorable change for whoever has the record to prove it with.

Book One saw only that imitation erodes the moat. It didn't see the feedback loop where enough imitation summons regulation that raises the price of imitating.

◆ Conditions changed, outcome pending — insurance and investment

Book One's Chapter 12 said this.

> **Succession.** Discipline may be set into institutions, but whether the same judgments come out after the people who built those institutions are gone is a separate

> question. When a person is one of the conditions a moat stands on, it's a weak condition.

The condition actually changed. The board approved a successor as chief executive in May 2025, effective 1 January 2026. The founder remained as chairman.[19]

But this isn't a grade. It's the clock starting.

What Book One predicted wasn't the handover. It was **the judgment after the handover,** and that only becomes visible across several years of capital allocation.

It can't be judged yet. And this item belongs to a third book, and there is no third book.

So the reader grades this prediction themselves.

◆ Conditions in motion — the desert city and aquaculture

Two items show a direction, and it's too early to conclude.

Book One's Chapter 20 saw the public finances tied to the property cycle.

The price index peaked in October 2025 and eased afterward, and a credit rating agency forecast a correction through the end of 2026. Transaction volumes remain large, though.[20]

The cycle has started turning. The magnitude isn't yet as predicted.

The resource rent tax in Book One's Chapter 23 wasn't a prediction — it had already happened. Checked now, the rate is unchanged.

Political proposals to lower it and discussion of adding further charges both continue.[21]

A moat resting on law does not settle once. It gets renegotiated every year.

◆ Not confirmed

Book One's Chapter 22 (water technology) listed copying after patent expiry, the technology becoming ordinary, and geopolitics as risks.

No recent primary source worth citing was obtained this time.

Not recorded as right or wrong. What wasn't confirmed wasn't confirmed.

◆ The numbers left out of Book One

While writing Book One, thirteen numbers were removed as whole sentences because no confirmable primary source could be obtained.

The pizza franchise's segment profit, the card network's fee split, the lodging intermediary's take rate, the energy drink company's media segment revenue, the football rights revenue split, motor racing's revenue by segment, the desert city's oil share, the city state's industry composition, the details of the fishing quota rules, recorded music market shares, and others.

They weren't filled in this time either.

Every one of these numbers sits inside a corporate filing or a regulator's publication.

Not having access to those documents was a constraint that ran through the entire writing of Book Two.

So the result for this item can only be recorded this way.

> **Still not confirmed.**

The fact that the same place is blank across two books is itself worth writing down.

Writing *blank* where something is blank looks easier than filling it in. In practice it's the more commonly omitted of the two.

◆ The results

Verdict	Count	Items
Wrong	3	Football · hotel brand · motor racing
Half	3	Music streaming · pizza franchise · outdoor brand
Right	8	Semiconductor design · coffee chain · lodging intermediation · payment network · protected agriculture · city state · fishing quotas · energy drinks
Can't judge yet	3	Insurance and investment · desert city · aquaculture

Verdict	Count	Items
Not confirmed	1	Water technology

◆ What the grading taught

Eight right, three wrong. It looks like a decent score.

Except that the three wrong ones are all in the same place.

	What Book One saw	What happened
Football	Streaming splits the viewing base	Streaming grew the audience
Hotels	Booking platforms cut the brand's value	The side without scale got bitten harder
Pizza	Delivery platforms take the channel	Only the entrance was given up; the last leg stayed

All three are **a new middleman arriving,** and all three are wrong the same way.

> **It assumed a new middleman cuts down whoever was already there. What actually happened is that the already-large side negotiated better terms with that middleman.**

A middleman doesn't hit everybody equally. It hits the side with no bargaining power first.

And the result is that **the gap between large and small widens.**

Book One placed the middleman as a threat and never asked whom the threat hits hardest.

That one sentence is the largest thing gained from grading. Chapter 9 of Part Two uses it directly when it covers the *suppliers revolt* path.

Taking the whole thing together, it comes out like this.

> **The five boxes tell you what could break. They don't tell you when it breaks, or whether it breaks at all.**

That isn't a flaw in the tool. It's the tool's range.

Structure shows you **possibility.** The actual outcome is made by structure plus management's response, the competitors' circumstances, and the political calendar.

The coffee chain is the evidence. The fault line Book One named was accurate, and the company read it, paid the price, and reversed it.

Which is why this book is written differently from Book One.

It does not write *this company will collapse.* It writes this.

> **This moat stands on this condition. If the condition changes, this follows.**

Write down the condition and the reader can watch it themselves. Write down the conclusion and the reader has no choice but to trust the author.

One last thing. Grading showed that **the wrong items taught more than the right ones.**

The eight right ones confirmed only that the tool works.

The three wrong ones revealed which box had been filled in wrongly and how, and that resolved into the single rule above.

Without being wrong you don't learn. Which is why this section is at the front of the book.

◆ Sources for this section

1. 2025 regular season average viewership and year-over-year change — league or audience measurement announcements.

2. Thursday night package average viewership, growth rate, viewer age comparison — rights holder's published materials.
3. Football audience composition by age group.
4. Difference in booking platform commission rates between chains and independent hotels, and direct booking costs — industry research.
5. Motor racing hosting fee income, total revenue, annual race cap — operator's results announcements and agreements.
6. Music streaming operator's quarterly results and annual report — gross margin and its composition.
7. Pizza franchise's delivery platform announcements and results — listing dates, who performs delivery, results.
8. Semiconductor design license litigation final ruling (Sept. 2025) and appeal (Oct. 2025).
9. Acquisition announcement of an open instruction set design company (Dec. 2025).
10. Regulatory authority opening an inquiry.

11. Coffee chain recovery plan and results — the plan's content, comparable store sales, earnings per share, restructuring costs.
12. Short-term rental regulation — constitutional court ruling, license abolition schedule, neighboring municipalities' rules, registration counts.
13. Interchange litigation settlement and instant payment limit increase — court documents and central bank announcements.
14. Protected agriculture energy policy — blending obligation, gas price outlook, support funds, emissions trading inclusion.
15. Domestic implementation of the global minimum tax — timing, domestic top-up tax structure.
16. Catch fee increase legislation — passage, effective date, phase-in rates.
17. Restrictions on high-caffeine drink sales to minors — implementation dates by country.
18. Directive governing environmental claims — application date, scope of prohibited claims.

19. Insurance and investment holding company chief executive succession — board approval date, effective date, founder's position.
20. Property price index trend and transaction volumes, credit rating agency outlook.
21. Aquaculture resource rent tax current rate and adjustment debate.

◆ Try It Yourself

Think of a company you currently believe **can never fail.**

Write one line on paper.

> This company's moat rests on ______.

And one more line.

> The situation where that condition changes is ______.

Write the date on it and fold it away. Open it in a year.

Whether you were right or wrong doesn't matter.

Being able to write the condition at all means you can already use the five boxes.

And if you were wrong, do one more thing.

Find **which box** you were wrong in.

That's exactly what the author did in this section, and it's how he found that all three misses were in the same box.

Part One · The Five Types of Moat

◆ Grouped by structure, not by industry

Five chapters. Each takes one type of moat.

The five that Book One's Chapter 4 named and moved past get dug into here, one at a time, all the way down.

Ch	Type	The question
1	Economies of scale	Why does big get cheap?
2	Network effects	Why does everyone gather in the same place?
3	Switching costs	What do you have to abandon

Ch	Type	The question
		to leave?
4	Intangible assets	Holding something that can't be bought
5	Cost advantage	Making the same thing for less

The industries are mixed together inside each chapter. Deliberately.

Book One grouped cases by industry. Software with software, finance with finance.

It read easily, and that arrangement obscured what Book One was trying to say.

> To show that the five boxes don't care what industry you're in.

To show that, **you have to mix the industries and still see the same thing.**

When a semiconductor company and a farm equipment company land in the same chapter holding the same moat, the claim that the frame is industry-blind is finally proven.

And each chapter closes its argument with **whoever tried to take it and failed.**

As Book One's Chapter 4 said, when there's a failed pursuer, the moat is proven.

The point that was thinnest in Book One is the center of the argument here.

◆ One more question added to box four

In the grading at the front of this book, Book One was wrong three times, **and all three times in the same place.**

It assumed a new middleman cuts down whoever was already there. What actually happened is that the already-large side negotiated better terms with that middleman.

The same middleman arrived, and the outcome for the side with scale and the side without it was opposite.

The cause is clear. **Box four was drawn only inside the company's own fence.**

It wrote down this company's moat and never wrote down the moat of whoever was sitting across the table.

So every chapter in Part One asks one more question after describing the moat.

> **Sitting across from this counterparty, which side needs the other more?**

A moat gets priced **at the negotiating table,** not while standing alone.

When both sides have a moat, the one who needs it more gives up the terms.

That's what Book One left out, and what Book Two pays back.

Part One

Chapter 1 · Economies of Scale — Why Does Big Get Cheap?

◆ The company that makes a hundred at a time

Shein releases thousands of new styles a day. And when it first makes one of them, it makes **only around a hundred units.**[1]

That's strange. If economies of scale are the point, isn't making more what makes it cheap? How does a company making a hundred at a time win on price?

The first misconception breaks here.

◆ The common misconception — making more makes it cheaper

The usual explanation: make a lot at once and unit cost falls. Build a big factory, run the machines long hours, and the fixed cost divides.

Half right.

The right half: in a business with large fixed costs, volume *is* cost.

The wrong half: **economies of scale are not a question of how much. They're a question of where.**

Inside one business there are segments where scale bites and segments where it doesn't.

The company that does this well isn't the one that makes a lot. It's **the one that picked the segment where scale bites.**

In this chapter's four cases, scale is sitting somewhere different every time.

◆ When scale lives in the number of attempts

Back to Shein.

The company makes about a hundred units of an item and ships them. If they sell, it makes more immediately. If they don't, that's the end. The loss is a hundred units.

Scale lives in the number of attempts, not the quantity per item.

There are thousands of partner manufacturers and thousands of new items a day. Design to shelf is reported to run inside one to two weeks.[1]

Unit cost in this structure might not fall much at all.

What nearly disappears instead is **the cost of making the wrong thing and stacking it up.**

Inventory that doesn't sell and gets discounted away — the single largest loss line in apparel — shrinks structurally.

For a competitor to copy this, building one large factory does nothing.

They'd have to construct **a system that scatters small orders across thousands of sites and collects them back.**

That is the moat.

◆ When scale lives in choosing the segment

Coca-Cola arrives at the same answer from the opposite direction.

What the company makes itself is **only the concentrate.**

Adding water, filling bottles, loading trucks and getting it into stores is done by bottlers.

There are dozens of concentrate plants worldwide, hundreds of bottlers receiving it, and final markets in roughly two hundred countries.[2]

Why split it this way? **Because the two segments behave in opposite ways.**

	Concentrate	Bottling and distribution
Does scale bite?	Enormously	Barely
Why	One tanker becomes millions of liters of finished product[2]	Water and glass are heavy, and freight is proportional to distance
Capital needed	Little	Plants, trucks, warehouses

Water is everywhere and it's heavy. So bottling **has to happen nearby, and loses money at distance.**

However large you build, you can't beat the distance. That's a segment where scale doesn't bite.

Concentrate is the reverse. Small in volume, shippable anywhere, and one batch becomes an enormous quantity of finished product. **A segment where scale bites to an extreme.**

So Coca-Cola holds only the segment where scale bites and hands over the one where it doesn't. Which also means handing the capital-heavy side to somebody else.

It didn't make economies of scale large. It positioned itself where scale already bites.

◆ When scale comes from nature

Off the coast of Peru sits the world's largest single-species fishery.

The small fish caught there get ground into fishmeal, and that fishmeal becomes feed for aquaculture worldwide.

A substantial share of world fishmeal production comes from this one country.[3]

No company built this scale. Geography did.

A cold current pushes nutrients up, and that's why the fish gather there. It isn't the kind of thing a competitor can replicate with capital, because you can't move an ocean.

It looks like the strongest moat in the world. And it has an unusual weakness.

Nobody made it, so nobody can defend it.

The catch is set by government quota.[3] When the current shifts, the fish don't come, and that year's production drops wholesale.

There's very little room for a company doing well or badly to matter.

Scale that nature gave, nature can take back.

◆ When scale comes from processing

Thai Union holds the largest processing capacity in the world.

Hundreds of thousands of tonnes a year, and a substantial share of the canned tuna sold worldwide passes through it.[4]

Here scale doesn't live in the catching. It lives in **the cleaning, cooking and canning.**

Wherever tuna gets caught, it has to be processed to become a product. And processing means large, heavy equipment. Running large equipment all day lowers unit cost.

Textbook economies of scale, exactly as written.

The company did one more thing. It bought consumer brands in several countries and attached them.[4]

Do the processing yourself, and use whatever name is familiar in each market.

With processing capacity alone, you're a contract manufacturer supplying somebody else's brand.

With the brands too, **you can fill your own equipment with your own volume.**

Because economies of scale only hold while the equipment isn't idle.

◆ Which side needs the other more?

Now apply the question this book added to box four.

When Coca-Cola and a bottler sit across from each other, who needs the other more?

At a glance the bottler looks stronger. The plants and the trucks are theirs. The concentrate company barely makes anything.

It's the reverse.

The bottler built those plants and trucks **to fill that particular beverage.** If the contract ends, there isn't much else that equipment can do.

The concentrate company, meanwhile, can find another bottler in that region.

It isn't that pushing capital onto somebody else happened to bring bargaining power along with it. The causation runs the other way.

Whoever carries the heavy capital is tied to that capital.

Shein and its partner factories are the same. Each factory is small and there is one source of orders.

Economies of scale don't only lower cost. They also set a price at the negotiating table.

There's an exception here. Fishmeal.

The government holds the quota, and the company is the side that needs something.

When the source of the moat is outside, the bargaining power is outside too.

◆ Whoever tried to take it and failed

The apparel case is clearest.

Zara and the earlier generation of fast fashion companies targeted weeks from design to shelf, and for a long time that was the fastest in the industry.

They did not get it inside one to two weeks.[1]

The reason isn't ability. It's structure.

Their cost advantage comes **from making one item in volume.** Which is why they hold their own stores, fix quantities in advance, and move in seasons.

Shifting to the hundred-at-a-time method means abandoning all of it.

You'd have to demolish the structure currently producing your profit in order to move.

That's the problem Chapter 11 covers. The larger the company, the higher the price of that decision.

◆ The conditions it stands on

Economies of scale rest on three conditions.

One, demand holds.

Large equipment is cheap only when it's full. When demand falls, that same equipment becomes pure fixed cost.

The most common path by which a moat turns into a liability.

Two, the source of the scale holds.

Scale that nature gave, nature can take. Scale that a government gave, a government can take.

Fishmeal and quotas sit in that place.

Three, scale is still required.

This is the condition changing fastest right now.

As Chapter 12 shows, the range of things you couldn't do without being large is shrinking.

When something only scale could buy becomes buyable without scale, that scale stops being a moat and becomes baggage.

◆ To sum up

Case	Where scale sits	What it rests on	When it breaks
Shein	The number of attempts	A system scattering small orders across thousands of sites	When others get that system cheaply too
Coca-Cola concentrate	Choice of segment	Concentrate is light and water is heavy	When distribution structure changes
Peruvian fishmeal	Nature	The current, the fishery, and the quota	When the current shifts or the quota shrinks

Case	Where scale sits	What it rests on	When it breaks
Thai Union	Equipment	Running large equipment without pause	When volume drops and equipment idles

All four are economies of scale, and not one of them has to defend the same thing.

"We have scale" on its own supports no judgment at all.

The question to ask is **where** the scale is.

◆ Sources for this chapter

1. Shein's initial production run size, daily new item count, number of partner manufacturers, design-to-shelf duration, inventory turnover.
2. Coca-Cola's concentrate plant count, bottler count, countries served, finished product volume per unit of

concentrate, margin difference between concentrate and bottling.

3. The Peruvian fishery's share of world fishmeal production, quota size and who sets it.
4. Thai Union's annual production capacity, world market share, brands owned.

◆ Try It Yourself

Pick a company you're interested in and cut its business into three segments. Making, moving, selling will do.

Then write one letter against each. Y if scale bites, N if it doesn't.

> Making ( ) Moving ( ) Selling ( )

Is the company holding the segments marked Y?

If it's also doing the segments marked N itself, that's a likely place cost is leaking.

Coca-Cola, in effect, drew this table and handed the N segments to somebody else.

Being able to draw the table means you've already started making that judgment.

Chapter 2 · Network Effects — Why Does Everyone Gather in the Same Place?

◆ Money moves in a country with no banks

In Kenya, people send money by phone without a bank account. It doesn't have to be a smartphone. An old handset that only does text works.[1]

Where you put cash in and take it out is not a bank branch. It's a shop in the neighborhood.

That shopkeeper is not an employee of the phone company. They're an independent merchant who takes a fee for swapping cash and electronic balance, and there are hundreds of thousands of them across Kenya.[1]

When a rival carrier launches the same service, it doesn't work well. Not because the technology is hard. **Because**

there's nowhere to change the money.

◆ The common misconception — lots of users makes you strong

The usual explanation: many users create a network effect, and then nobody can beat you.

Half right.

Having many users and having a network effect are different things.

A newspaper with a million subscribers does not have a network effect, because one more subscriber does nothing for the existing ones.

A network effect is defined by one condition.

> **When one more arrives, does a benefit reach the people already there?**

And the real question this chapter asks is the next one.

> **How far does that benefit spread?**

Network effects have **a boundary.** And the boundary sets the size of the moat.

Two identical-looking network effects, and one crosses borders while the other can't.

◆ When the touchpoint is the network — M-PESA

Back to Kenya.

One side of M-PESA's network is users. The other side is **the shops that swap cash.**

More shops is better for users, and more users means more for the shops to earn. A textbook two-sided network.

What matters here is that those shops **are not employees of the company.**[1]

The company didn't open branches. It recruited shops that already existed.

Which is how hundreds of thousands of touchpoints got built with almost no capital.

What would a competitor have to do to copy this?

The technology can be copied. The advertising can be bought. And **they would have to sign hundreds of thousands of shops one at a time.**

And those shops are already collecting the other side's commission.

The boundary of this network is sharp. **Kenya.**

Cash differs by country, the agents are physically in place, and financial regulation is national.

It's cited as one of the most successful cases in the world, and it can't cross a single border.

◆ When complements are the network — Shopify

There's an exact opposite.

At a company that builds online stores, one side of the network is merchants, and the other is **developers building tools for those merchants.**

More merchants means a bigger market for developers, and more usable tools means the platform is worth more to merchants.

What's unusual here is the ratio of the scales.

Partners and app developers number in the tens of thousands, and the apps they built number in the thousands to tens of thousands.

And the value of transactions actually running across the company's product is **many multiples of the company's own revenue.**[2] What the company takes is a very thin layer of it.

What does that mean? **It means the product is filled with features the company did not build.**

A competitor can build a better store builder, and can't build the thousands of apps attached alongside.

Building them yourself means one company doing what tens of thousands of them divided between themselves.

And this network's boundary is **effectively nonexistent.**

The developers are online and the merchants are online. A different language means translating the app; a different country still runs the same code.

The exact inverse of M-PESA.

◆ Why does one cross borders and the other can't?

Put the two side by side and a rule appears.

	M-PESA	Shopify
One side	Users	Merchants
The other	**Neighborhood shops (physical)**	**Developers (online)**
Boundary	Kenya	Effectively none

> **If even one side of a network is tied to a physical location, the network cannot leave that location.**

That isn't a question of better or worse. M-PESA's moat is extremely strong inside Kenya. That strength just doesn't leave Kenya.

And this rule connects to the last chapter of this book.

In a country with a small domestic market, building a business on network effects means **a ceiling as low as the moat is strong.**

◆ The company that met its boundary — OpenTable

There's a case that ran into this problem head-on.

A platform connecting restaurants and diners. More restaurants brings diners, more diners brings restaurants. Inside its home market the loop turned well.

Two walls, though.

One, both sides are tied to a place.

Restaurants are physically in a city and diners search in that city. By the rule above, this network stops at the boundary of a metro area, and then at a border.

Two, restaurants list on several platforms at once.

The same restaurant appears on this app and that app. Then *this is the only place* stops holding.

That's the weakness Book One's Chapter 13 named for lodging intermediation.

The direction this company took is interesting.

It moved from the position of **connecting** to the position of **operating.**

What restaurants pay for is the reservation system itself — the software that holds the floor plan, the table turns, the guest records and the no-show history.

What changed?

A restaurant can use several booking apps. It uses one reservation book.

Because the tables, the shifts and the guest history all accumulate inside it. Switching means moving those records and retraining the staff.

It changed from a network effect to a switching cost.

And as Chapter 3 will show, switching costs don't care about borders. Software written in one country installs in a restaurant in another.

◆ Which side needs the other more?

Here the question this book added to box four splits sharply.

M-PESA and the neighborhood shop.

Each shop is small and replaceable, so the individual shop is the side that needs the other.

But if the shops leave all at once, there is no business.

So the company is strong with any individual shop and **careful with the commission structure as a whole.**

Shopify and the developers.

Same structure, one difference. A large part of what the company sells was built and attached by somebody else.[2]

Which means that every time the company starts building a feature itself, **the developers who built that feature disappear.**

The individual developer is always the side that needs the other, so this relationship always carries tension.

The story from Chapter 12 about artificial intelligence repeats here.

The booking platform and the restaurant.

Here **the platform was the side that needed the other.**

A restaurant listing on several apps loses little by dropping one. The platform, if restaurants leave, has nothing to sell.

And that is the real reason for the move into operating software.

It was a move to invert who needs whom.

◆ Whoever tried to take it and failed

In Kenya, banks tried to follow into mobile money. They had capital and regulatory experience.

A bank cannot open hundreds of thousands of branches.

One side of this network is **a physical touchpoint called a neighborhood shop,** and money doesn't build that quickly.

The store builder is the same. Several companies built a better editor. None of them could also build the thousands of apps attached alongside.

What a competitor has to beat isn't the product. It's the people already gathered.

◆ The conditions it stands on

Network effects rest on three conditions.

One, one side can't be in several places at once.

The moment restaurants list on multiple apps, the effect thins. It stops being *this is the only place* and becomes *this is also a place*.

Two, there's still room to grow inside the boundary.

If the boundary is Kenya, Kenya is the ceiling. Fill it and growth stops. From then on the network effect exists and the share price doesn't move.

Three, the public sector doesn't build the same function.

The path Book One's Chapter 11 named for payment networks.

When governments and central banks build direct account-to-account rails, a road appears that bypasses the network private companies stacked up.

A moat built from hundreds of thousands of agents can be shaken by one line of law.

◆ To sum up

Case	The two sides	Boundary	Who needs whom	When it breaks
M-PESA	Users ↔ neighborhood shops	Kenya	The individual shop	Public payment rails · the ceiling on growth
Shopify	Merchants ↔ developers	Effectively none	The individual developer	When the company swallows the app territory
OpenTable	Restaurants ↔ diners	A city, then a country	**The platform**	Restaurants listing everywhere at once

All three are network effects, and **the boundary and the bargaining power are different in every one.**

"We have network effects" on its own tells you nothing.

Two things to ask. **How far does it spread, and who needs the other more?**

◆ Sources for this chapter

1. M-PESA's agent count and user base, the legal status of agents (independent merchants rather than employees), the commission structure, and Kenya's bank account penetration at launch.
2. Shopify's partner and app developer counts, app counts, and the relationship between gross merchandise volume on the platform and the company's own revenue.
3. Restaurant reservation platform economics — what restaurants pay for, multi-listing behavior, and the share of bookings arriving through each channel.

◆ Try It Yourself

Pick an app or service you use often. Write two lines.

> If one more user arrives, does anything get better for me? (Yes / No)

If no, that isn't a network effect. It's popularity.

If yes, write one more line.

> The other side of this network is _______, and is that side tied to a physical location?

If it is, that service can't leave that location. If it isn't, a border is not its ceiling.

Two lines and you can see where that business's ceiling is.

Chapter 3 · Switching Costs — What Do You Have to Abandon to Leave?

◆ A farmer who can't fix his own tractor

A farmer's tractor, bought with his own money, breaks down. He knows how to swap the part and he owns the tools.

He still can't fix it. After the part goes in, software has to recognize it, and that program exists only at authorized dealers.

When a machine stops during harvest, a day matters. He waits for the dealer's queue.

Farmers had been angry for a long time, and it ended up in court.

And in 2026 it concluded. We'll come back to it.

◆ The common misconception — it's built with contracts

Say "switching cost" and people think of contracts and cancellation fees. Two-year terms, early termination charges.

Half right.

A switching cost built from a contract disappears when the term ends. And the customer **perceives it clearly as a cost.**

The moment it's perceived, it becomes a grievance, and grievances eventually become regulation.

The genuinely strong switching costs aren't written in any contract. And they come from one of three materials.

Material	What you'd have to abandon	Where it accumulates
Learned	Acquired skill, habits in the hands	In people
Accumulated	Records, data, history	In time
Blocked	The exit itself	**The company builds this one**

The first two arise as a consequence of having given the customer value. The last one the company constructed deliberately.

And to state this chapter's conclusion up front: the last one is the weakest.

◆ Learned — Adobe and CUDA

There's a company that makes design software. Its tools became the industry standard a long time ago.

What holds people? Three layers.

The hands remember. Shortcuts and the order of operations are in the body. Move to another tool and the same job takes several times longer.

Colleagues use it too. Files have to move between people, and different formats stop the work.

It isn't one person moving. Everybody you work with has to move.

Schools teach it. New hires already know how to use it.

If the company adopts a different tool, **it has to retrain everyone who arrives.**

None of the three layers exists because the company blocked anything. **They accumulated on their own while the tool was used for a long time.**

The same structure shows up in the software that runs artificial intelligence computation.

More than fifteen years of accumulated tools and libraries, the frameworks built on top of them, the developers trained on it.[1]

Even when a competing product reaches similar performance, moving is hard. Rewriting the accumulated code is described as costing months of engineering salary.[1]

The moat isn't the chip. It's what accumulated on top of it.

◆ Accumulated — records that hold people

Consider golf simulator technology installed at driving ranges.

The screens, the ball-tracking cameras and the software are supplied by one technology company, and the ranges themselves are independently owned.

From the range owner's side, what does switching to another company's product mean?

Ripping out the bays and reinstalling. It costs money and it stops trading. **That alone is a switching cost, and it isn't the whole of it.**

The heavier thing is what accumulated on the customer's side.

Golfers have their own records. Years of session history, shot data, distances, handicaps.

Those records live inside that company's system.

If the range switches, its regulars leave their records behind.

The range pays the cost of changing equipment. The customer pays the cost of losing the records.

Which is why the range can't switch — it would lose the regulars.

There's a reason this structure matters. **The party bearing the switching cost and the party deciding the purchase are different people.**

When you see that mismatch in a business, the moat is stronger than it looks.

◆ Blocked — and how it ended

Back to the tractor.

That company used the third material. It blocked the exit.

It gave the diagnostic software needed for repairs only to authorized dealers. Neither the farmer nor the local mechanic could complete a repair without it.

That's a powerful switching cost, **because you have to keep coming back to the dealer after buying the machine.**

Sell it once and the repair demand follows.

But there's a decisive difference from the first two materials.

The customer experiences it not as a price but as unfairness.

Learned and accumulated are consequences of the customer gaining something. There's nothing to resent.

Blocked means the customer gained nothing and their feet are tied. **That makes people angry.**

And anger goes to regulation.

The US Federal Trade Commission and several states sued in January 2025, and a settlement was reached in July 2026.

For the next ten years the company must provide farmers and independent repair shops **the same repair materials and software it gives authorized dealers.**[3]

A separate class action brought by farmers settled in April of that year.[3]

The moat didn't fade. It was dismantled by law.

Which produces this chapter's conclusion.

> **A switching cost built by blocking supplies the evidence against itself.**

Learned and accumulated are hard to regulate. You cannot pass a law unwinding what people have gotten used to.

Blocked is different. The act of blocking leaves documents, and those documents become the material of a lawsuit.

◆ Which side needs the other more?

Switching costs get priced at the negotiating table immediately.

The design software company and its corporate customers.

Raise the subscription price and customers largely can't leave. The company is not the side that needs the other.

There is a ceiling, though. When the price exceeds the cost of learning something else, they move.

The size of the switching cost is exactly the ceiling on pricing power.

The computation software company and a very large customer.

Here the balance differs. The customer is enormous, and that customer has the capacity to build an alternative itself.

The *customer is the competitor* structure from Book One's Chapter 8 operates here too.

A large switching cost gets discounted by however much larger the other side is.

The tractor company and farmers.

Each individual farmer was the side that needed the other, which is why they put up with it for so long.

But farmers are numerous, organized, and politically represented.

Some counterparties are weak individually and strong collectively.

Use a moat built from blocking against a counterparty like that and it ends the way it ended above.

◆ Whoever tried to take it and failed

The computation software case is clearest.

A competitor pushed an open alternative for years. Performance caught up and the price came down.

Developers largely didn't move.

The problem was never the chip. It was **fifteen years of tools and code stacked on top of it.**[1]

There's a point at which a better product at the same price still doesn't move anybody.

That point is the size of the switching cost.

◆ The conditions it stands on

Switching costs rest on three conditions.

One, the cost of moving exceeds the cost of staying.

Obvious, and both sides of that inequality move. Keep raising the price and you grow the right side, not the left.

Two, what's blocked doesn't get caught by regulation.

If it was built by blocking, this condition has an expiry date. The tractor above is the example.

Three — and this is the fastest-changing one — moving is still hard.

A large part of the switching costs made of *learned* and *accumulated* rests on the fact that **the moving work takes human hands a long time.**

Months to rewrite code, weeks to migrate data.

Machines have started doing that work.

There are reports of AI tools porting code from one platform to another far faster than people did.[1]

The recalibration from Chapter 12 shows up here concretely.

When the cost of moving falls, the moat called switching cost thins with it.

Not all of it thins, though.

A machine can move the code. **It can't move the habits in your hands or your colleagues' file formats.**

The more of it accumulated on the human side, the longer it lasts.

◆ To sum up

Case	Material	What you'd abandon	When it breaks
Adobe	Learned	Habits · colleagues' formats · new hires' fluency	When the price exceeds the cost of relearning
NVIDIA's CUDA	Learned + accumulated	Fifteen years of tools and code	When the porting work gets automated
Golf simulator technology	Accumulated	Equipment · and the customers' records	When the records become portable
John Deere	**Blocked**	The exit itself	**When regulation opens the**

Case	Material	What you'd abandon	When it breaks
			road — and it did

All four are switching costs, and one of them is already broken.

And the broken one happens to be **the one the company built on purpose.**

> **A switching cost created by giving value lasts a long time. A switching cost created by blocking the road is short.**

◆ Sources for this chapter

1. The computation platform's ecosystem accumulation period, the engineering time and cost of porting, and demonstrations of automated porting tools.
2. Market share figures for golf simulator technology by installed venue could not be confirmed and are not

given. The structure described — technology supplied to independently owned ranges, with player records held in the supplier's system — is what the argument rests on.

3. The settlement between the US Federal Trade Commission, state governments and the farm equipment company over right to repair — filing date (Jan. 2025), settlement date (Jul. 2026), the ten-year obligations, and the separate class action settlement (Apr. 2026).

◆ Try It Yourself

Think of one service or tool you use that **would be annoying to change.**

Write one line.

> If I switched, what I'd lose is ______.

Then decide which of the three it is.

- **Learned —** that company has room to raise the price
- **Accumulated —** check whether you can export those records
- **Blocked —** being annoyed is the correct reaction, and moats like that usually don't last

Then ask the same question of your own work.

Does my customer lose something by leaving? Is it something I gave them, or something I blocked?

If you gave it, keep stacking. If you blocked it, you need to build something else.

Chapter 4 · Intangible Assets — Holding Something That Can't Be Bought

◆ Nine hundred and ninety-nine out of a thousand don't get the name

There's a melon grown in one district of Hokkaido, Japan.

Same district, same variety, more than a hundred and forty farms growing it the same way.[1]

At harvest it gets graded. And **roughly one in a thousand receives the top grade.**[1]

The rest drop to a lower grade or don't carry the name at all.

That's strange. Why knock down what you worked so hard to grow? Pass everything and you'd sell a thousand times as much.

That is exactly how this moat works.

◆ The common misconception — brands are built with advertising

Say "intangible asset" and people think of a brand, and think brands get built by advertising a lot.

Half right.

Making people aware works through advertising. **Making people trust does not.**

Trust arrives only after the accumulated experience that *whatever carries this name has always been like this.*

And one break takes it down.

Which makes this moat completely different in character from the other four.

> **The other moats get stronger the more you sell.**
>
> **This one gets stronger the less you sell.**

Recall Chapter 1's economies of scale. There, volume was cost, and whoever made more won.

Here it's the reverse. **Selling more dilutes the name.**

This is why one company cannot maximize both moats at once.

All four cases in this chapter defend the moat **by not selling.**

◆ Defended by grading — Yubari melons

Back to the melon.

The name is protected so that only fruit grown in that district can carry it.[1]

That alone isn't enough, because quality varies even within the district.

So the growers' association grades. It looks at sugar content and shape and sorts into several tiers. Only a very small share receives the top grade.[1]

The core of what the association does is not selling. It's rejecting.

In this structure each farm loses out, because most of its own melons land in a lower tier.

And that loss builds the value of the name, and the value of the name raises what each farm's fruit is worth.

A structure that loses money individually and gains collectively, which is why an organization like an association is required. One farm can't do it.

If a single farm starts quietly selling everything, the whole thing goes at once.

One thing to add.

News of a very high price at the season's first auction arrives every year. That price swings enormously between years and is not representative of actual trade.[1]

That auction is closer to an event managing the name than a price.

Staging like that is one of the tools used to defend an intangible asset.

◆ Defended by licence — Zespri

New Zealand's kiwifruit export structure is more complicated. The moat is three layers deep.

The first layer is the variety. A variety developed with a research institute, and the right to grow it is managed by licence.

Licences go out by auction and the price is high enough to keep casual entrants out.[2]

The second layer is the name. The brand attached to that variety commands a premium in the market.[2]

The third layer is the rule. By law, the route for exporting kiwifruit out of this country beyond one region is consolidated in a single channel.[2]

The three hold each other up. The variety is good so the price stands; the price stands so the licence carries value; there's one channel so the price doesn't collapse.

Except the third layer is different in kind.

The first two were made by developing and accumulating. The third was made by law. The distinction from Chapter 3 applies here exactly.

A layer made by law disappears when the law changes.

Three layers looks sturdy, and each layer has a different lifespan.

◆ Defended by not expanding — Aman

There's a brand operating resorts at the very top of the price range.

This brand is described better by **what it doesn't do** than by what it does.

It doesn't build many rooms, doesn't add properties quickly, doesn't advertise heavily.

What's being sold here isn't a room. **It's the fact of having been there.**

And that value falls the moment anybody can go.

It runs directly against the conventional wisdom of the hotel business.

Normally a hotel company grows by adding brands and adding properties. That's the structure from Book One's Chapter 14.

This brand doesn't take that road. **Because giving up growth is how the moat is defended.**

Chapter 12 says the long-lived shops didn't choose growth. Same choice.

Except here it isn't modesty. **It's a pricing strategy.**

◆ When the name of a country is the asset

The largest intangible asset of all is held not by a company but by a country.

The name Switzerland carries long-accumulated associations. Precision, stability, neutrality.

Which is why a watch made there and money placed there fetch more than the same thing elsewhere.

The unusual feature of this asset is that **nobody owns it.**

It belongs to no company, and therefore no company can manage it alone.

And here the most frightening property of this type appears.

Centuries to build. One event to spend.

A country's financial reputation gets shaken by one or two large failures.

And the failure was one company's, while the price is paid by everybody using that country's name.

Being a shared asset means nobody defends it. That's the weakness of this moat.

◆ Which side needs the other more?

Intangible assets are very strong at the negotiating table. It splits by who's across from you.

The melon association and an individual farm.

The association is stronger. Losing the name cuts the price to a fraction.

But the association was made by the farms. **A structure where you're bound by the organization you built.**

If a majority of farms want the grading loosened, it gets loosened. And at that moment the moat starts melting.

The top-price brand and its guests.

Overwhelmingly the company. Raise the price and whoever was going still goes.

That power sits on **the condition of not increasing guest numbers,** though. Increase them and the power falls.

It gives up revenue in order to keep the bargaining power.

A country's name and the companies using it.

Here neither side needs the other, because nobody owns it and nobody can cut anyone off.

Which is also why it goes unmanaged.

A moat with no owner has nobody to send to the negotiating table.

◆ Whoever tried to take it and failed

The kiwifruit case is clear.

The same family of gold-fleshed varieties gets grown in other countries too. Growing it can't be prevented. The price isn't the same.[2]

Secure the variety and you don't have the name; build the name and you don't have the years.

What copying requires isn't capital, it's elapsed time, which is why nobody catches up.

That's the strongest feature of intangible assets.

Chapter 1's economies of scale get caught eventually if you spend enough. **Here no amount of money buys the time that already passed.**

◆ The conditions it stands on

Intangible assets rest on three conditions.

One, you regulate your own volume.

The most common collapse doesn't come from outside. It comes **the moment you decide to sell more because it's selling well.**

That's the point Book One's Chapter 16 named about the outdoor brand.

Chapter 10's path in Part Two goes off most often in this type.

Two, there's no single catastrophic event.

The time to build and the time to lose are asymmetric.

Which means an organization holding this moat **has to take fewer risks.**

The more you have to protect, the more expensive a new attempt becomes — the problem from Chapter 11 appearing here too.

Three, layers made by law stay lawful.

Kiwifruit's third layer is that. Anything made by rule gets treated the same way as Chapter 3's *blocked*.

And confirm the recalibration from Chapter 12 here as well.

The more common artificial intelligence becomes, the more this type is worth.

The more that can be fabricated, the more value survives only in what can't be.

A record of passing one in a thousand cannot be fabricated.

◆ To sum up

Case	How it's defended	What it rests on	When it breaks
Yubari melons	Grading things out	Farms keeping the discipline	When a majority of farms loosen

Case	How it's defended	What it rests on	When it breaks
Zespri	Restriction by licence	Variety · name · **rule**	When the rule changes (third layer only)
Aman	Not expanding	Scarcity	When growth gets decided
Switzerland	— (no owner)	Centuries of association	One large failure

All four defend the moat **by selling less.**

And in all four the largest risk is not outside but **inside.**

> **What destroys an intangible asset is usually not a competitor. It's your own decision to grow.**

◆ Sources for this chapter

1. Yubari melon's geographical indication protection, the size of the growers' association, the grading system and the share passing the top grade, and the year-to-year variation in first-auction prices.
2. New Zealand's single-desk kiwifruit export system, how cultivation licences for the variety are allocated, and the price premium of that variety.

◆ Try It Yourself

Think of a brand or a shop you like. Ask one question.

> If this place became ten times bigger than it is now, would my reason for liking it still be there?

If it would, that business's moat points the same direction as scale. Bigger makes it stronger.

If it wouldn't, it's the intangible asset kind, and **that company's growth plan is a warning signal.**

Then ask the same of your own work.

> Among the things I'm accumulating, is there anything **money can't buy and only time can?**

If there isn't, there isn't yet. To build one, start stacking time now.

This is the one moat you can start late on and cannot build fast.

Chapter 5 · Cost Advantage — Making the Same Thing for Less

◆ The company that gives away what everyone else sells

Renting internet capacity is not cheap.

So the companies that deliver websites on your behalf buy that capacity and charge for it. Measuring how much data went out and billing for it is the basis of the business.

And there's a company doing the same job that gives **a large part of it away free.**

Competitors can't follow. Not for lack of generosity.

To them that capacity is **the cost of the thing they have to sell.** Give it away and there's nothing left to sell.[1]

The same cost line is a cost to one side and bait to the other.

That's the first form of cost advantage.

◆ The common misconception — cheap means big

Low cost usually makes people think of scale. Make more, get cheaper. That was Chapter 1.

Half right.

Cost lowered by scale was already covered. This chapter isn't that. It looks at **being cheap regardless of scale.**

There are companies that are small and cheap. There are companies that are cheap *because* they decided not to get big.

So the two types have to be looked at separately.

Cost advantage is built three ways.

Method	What it does
Change the position	What is a cost to others is bait to me
Narrow the scope	Get cheap by increasing what you don't do
Redraw the line items	Design the largest cost line out of existence

◆ Change the position — Cloudflare

Back to that company.

What it sells is not capacity. It's security and access management. Capacity is **the means of gathering people.**

So it puts everything into lowering what capacity costs.

Large committed contracts lower the unit price; raising the share of traffic exchanged with other networks without settlement removes the charge entirely; and agreements with storage providers eliminated the charge coming from that side.[1]

The result is that sending one more unit converges toward costing nothing.[1]

What matters here isn't the method. It's **the position.**

A competitor making the same effort gets a different result.

To them capacity is the source of revenue, so lowering it shrinks what they have to sell.

To this company capacity is a cost, so lowering it is pure gain.

> **A cost advantage can come from doing the same job better. It can also come from that job sitting in a different place in your business.**

And this kind of cost advantage is extremely hard to copy, **because copying it means changing the entire business model.**

◆ Narrow the scope — In-N-Out

A burger chain in the western United States sells fewer than about fifteen things.[2]

A short menu makes the kitchen simple. Fewer ingredient types, less waste, less time for staff to learn, fewer mistakes.

One decision not to make a menu item lowers several cost lines at once.

There's one more thing this company doesn't do. **It doesn't franchise.**[2]

So it can't grow fast, because it has to build with its own money.

And there's one more decisive thing.

New locations open only within a certain distance of a distribution center.[2] Past that distance the ingredients can't be trucked daily.

Going to a new region means **building a commissary and a warehouse there first.**[2]

Which is why only a handful of stores open in a year.[2]

This company's cost advantage doesn't come from scale. It comes from giving scale up.

There's an overlap with Chapter 4 here.

The decision not to expand doesn't only lower cost — it also builds the name.

The fact that the line is long and the region is limited is itself what draws people.

Two moats stacked, and both coming out of the same decision.

Structures like that are especially hard to imitate, because copying one half doesn't bring the other half with it.

◆ Redraw the line items — capsule hotels and Motel 6

In an urban lodging business the largest cost is **space.**

Rent or the building itself — how many square meters it takes to sleep one person sets the cost.

Normally nobody touches that line. A room is a room. So competition happens in the remaining lines. Cut labor, drop breakfast.

Two businesses attacked further up the list.

The American roadside motel that opened in California in 1962 charging six dollars a night took out the restaurant, the room service, the lobby staff and the bellhops, and put the buildings on cheap land beside highways.[3]

It didn't make a hotel cheaper. **It removed most of what a hotel was made of and kept the bed.**

The capsule format went further and attacked the largest item directly. It sleeps far more people in the same floor area.

That isn't economizing. **It's redesign.**

It didn't make the room a bit smaller. It changed the unit called a room.

Which is why a competitor who cut labor to the bone still can't reach the price.

There's a cost, though. **What you can sell narrows.**

No families, long stays are awkward, and the ceiling on price is low.

Lower cost structurally and **the range of what you can sell usually narrows with it.**

◆ Which side needs the other more?

Cost advantage plays out interestingly at the negotiating table.

The capacity company and the networks.

In a relationship exchanging traffic without settlement, **neither side needs the other.** It holds because it benefits both.

That balance can break if the traffic ratio tilts heavily one way.

A relationship whose condition is symmetry loses the condition when symmetry goes.

The burger chain and its suppliers.

This company does a large share of ingredients and logistics itself.[2]

It solved the bargaining power problem **by removing the negotiation.**

Do it yourself and you don't lose the negotiation. In exchange, capital gets tied up and you get slower.

Worth comparing with the beverage company in Chapter 1, which chose the exact opposite.

The capsule operator and the landlord.

Here the landlord is still stronger.

Succeeding at using space efficiently doesn't change the fact that the space has to be rented.

The largest cost line got reduced, and the relationship with whoever holds that line didn't change.

So when rent rises, this moat thins immediately.

◆ Whoever tried to take it and failed

The capacity case is clearest.

Companies offering the same service tried lowering the price. The more they lowered it, the more their own revenue fell.[1]

Not that they couldn't copy it — copying it would have killed them.

It's the inverse of Book One's Chapter 7 line, *competitors don't need to make money from this business.*

Here they **can't follow precisely because they do need to make money from it.**

◆ The conditions it stands on

Cost advantage is **the fastest of the five moats to be replicated.** Which is why Chapter 12 files it under the ones losing value.

Three conditions.

One, the method isn't known yet, or can't be followed.

A cost advantage won by arranging a process well usually gets caught within a few years.

What lasts is only the version built so that **copying it collapses the copier's own business.**

Two, the narrowed scope is still large enough.

A business made cheap by narrowing has to keep selling inside that narrow range.

When taste moves, narrow becomes the weakness itself.

Three, whoever holds the cost doesn't raise the price.

The capsule operator's rent sits in that spot.

When the source of your cost advantage is in somebody else's hands, they set the price.

◆ To sum up

Case	Method	Why it can't be followed	When it breaks
Cloudflare	Change the position	Copying shrinks the	When symmetry

Case	Method	Why it can't be followed	When it breaks
		copier's revenue	in settlement-free exchange breaks
In-N-Out	Narrow the scope	Narrowing means giving up growth	When demand in the narrow range moves
Motel 6 · capsule hotels	Redraw the line items	You have to change the unit itself	When rent or land cost rises

All three are cost advantages, and every one lasts for a different reason. They have one thing in common.

> **A cost advantage that lasts wasn't earned by working hard. It was earned by standing where copying it loses the copier money.**

Cheap because you're diligent ends when others get diligent.

Only cheap because of structure becomes a moat.

◆ Sources for this chapter

1. Cost structure of the capacity business — committed contract pricing, the share of settlement-free interconnection, agreements with storage providers, incremental cost per unit transferred, and how competitors' cost structures differ.
2. The burger company's menu count, franchising policy, distribution-center radius rule, annual new store count, and extent of vertical integration.
3. The founding of the American budget motel chain in 1962, its opening nightly rate, and the amenities removed from the standard hotel format.

◆ Try It Yourself

Write down **the single largest cost line** in your own work or in a company you follow.

> The thing we spend the most money on is ______.

Then ask three questions in order.

- Is this line **also a cost to competitors?** If not, you're in the weaker position
- Is there a way **not to do it at all?** That's the narrowing road
- Can you **change the unit itself?** Hardest, and longest-lasting

If the third question produces an answer, that's a real cost advantage.

And if it doesn't, that's fine.

Just knowing what the largest line is puts you ahead of most competitors.

Part Two · The Five Paths a Moat Breaks Along

◆ How does a moat give way?

If Part One covered *why hasn't anyone taken it*, Part Two is the other side.

Book One's Chapter 5 named five collapse paths. Here each becomes a chapter.

Ch	Path	How it breaks
6	Regulation changes	The moat was resting on a rule
7	Technology substitutes	The position being defended stops existing

Ch	Path	How it breaks
8	Customers move	The product is the same and box one shifts
9	Suppliers revolt	The middle gets skipped
10	Growth breaks it	The conditions that built the moat break under scale

The order means something. It runs **from what comes from outside to what grows inside.**

The first three arrive from outside the company. Rules change, technology arrives, people change.

The last two grow inside it. **And a fault line grown inside is far more dangerous.**

What comes from outside shows up in the news. What grows inside starts while the results are good.

That's especially true of the last path.

When growth breaks a business, the signal of breaking and the signal of doing well **appear as the same number.**

The single fact that store count is rising cannot separate the two.

Book One's Chapter 5 said this.

> It dies because it was strong.

Part Two is where that sentence gets checked against ten countries and eighteen companies.

Chapter 6 · Regulation Changes — When the Licence Was the Business

◆ The same business is legal here and banned there

There's an app that charges no commission on stock trades. So where does it earn?

It routes customer orders to market makers and is paid for them. The customer pays no commission and the company earns by passing the order on.

At one point more than half this company's revenue came from that.[1]

And that practice **was banned across the European Union from 30 June 2026.** Even Germany's remaining transition period ended.[1] The United Kingdom banned it too.

The United States did not. It went toward strengthening disclosure instead.[1]

The same business model disappears on one side of the Atlantic and survives on the other.

◆ The common misconception — regulatory change is a risk

True. And too blunt to use.

Every business sits under regulation. Saying "there's regulatory risk" helps a judgment about as much as saying "this company is on Earth."

Half right. Here's the other half.

> **The question isn't whether regulation changes. It's which layer of this moat that regulation is.**

If the moat is one layer and that layer is a rule, the business ends when the rule changes.

If the moat is five layers and one of them is a rule, one layer peels off.

This chapter's four cases show the difference.

◆ When it was one layer — the free trading app

Back to the app.

Fill in the five boxes and box three is unusual. **The person paying and the person using the service are different people.**

The user is a retail investor; the payer is the market maker buying the order flow.

Exactly the structure from Book One's Chapter 1. Somebody else opens the wallet.

And this structure rests **only on the condition that the transaction is permitted.**

That condition differs by country, and it changes.

Banned in Europe, the company has to earn another way in that region. Charge a commission, charge a subscription, or use interest on deposits.

Which shakes box two, the *there are no fees* proposition.

Here the frightening part of this path appears.

Regulation strikes box three, and when box three falls, box two falls with it.

The boxes do not stand independently.

◆ When it was several layers — Ireland

There's a case with the opposite outcome.

This country attracted companies with a low corporate tax rate. For a long time that was its symbol.

And the international community built a minimum tax norm aimed at that method.

Book One's Chapter 19 named this risk and wrote: **"it's an international agreement rather than a single country, so it can't be dodged."**

The norm was applied. And what happened?

Corporate tax revenue didn't fall.

The numbers need care here.

The headline corporate tax take in 2025 is lower than the year before. The prior year included one very large one-off back-tax payment.

Excluding that and comparing like with like, 2025 corporate tax revenue rose by a double-digit percentage.[2]

Corporate tax revenue rose in the year the minimum tax applied. That's the confirmable fact.

Why didn't it collapse? **Because the rate was not the only layer of this country's moat.**

- It works in English
- It's inside the European Union
- Decades of workforce and suppliers in those industries accumulated there
- Moving means physically relocating plants, offices and people

That last item is Chapter 3's **switching cost.**

And the minimum tax applies only to companies above a size threshold.[2] Below that, the low rate remains exactly as it was.

One layer thinned and the rest stayed.

Book One's judgment was right in direction and wrong in magnitude. The shape that kept recurring in this book's grading section.

◆ When the rule was turned into the product — Estonia

The third case runs in a different direction entirely.

Rather than experiencing regulation as a risk, this is **a country that decided to sell it.**

It issues a digital identity to foreigners who don't live there. With it they incorporate remotely, bank, and pay tax.

In figures: more than 130,000 people from 185 countries have received the identity, and 5,556 companies were newly formed in 2025 alone.

Direct state revenue from the programme that year was on the order of €125 million, against roughly €10 million spent running it.[3]

The rule itself became the product.

What's interesting is that this moat **is easy for another country to copy.** Pass a law, build the systems. No natural resource required, no population required.

So what protects it? **Having gone first, and the trust accumulated since.**

Incorporating and paying tax requires believing in that country's institutions. Chapter 4's intangible asset is what operates here.

A moat made from rules isn't defended by rules. In the end trust defends it.

◆ When regulation changed twice — Grameen Bank

The last case shows both directions of this path inside one organization.

A bank lending small amounts to poor borrowers without collateral.

It was established by a special law, and that law included a government shareholding and the power to appoint directors.[4]

The law created the organization and the law held the organization.

In 2011 the founder was removed from management. Governance disputes ran for years afterward.[4]

And from 2024 the law began changing again.

Amendments were pursued to sharply reduce the government stake, cut the number of government-appointed directors, and have the board elect the chair.[4]

In one organization, regulation shook the moat and then put it back.

What's to be learned here isn't a political judgment. It's structure.

> **A moat made by law disappears when the law changes, and returns when the law changes again. So its lifespan depends on the political calendar rather than on how good the business is.**

The sentence from Book One's Chapter 23 about aquaculture comes back exactly. **When the moat is law, the risk is law.**

◆ Which side needs the other more?

In front of regulation the question has to be asked differently, because the counterparty isn't a trading partner. **It's the regulator.**

The trading app and the regulator.

The company overwhelmingly needs the other. There's no negotiation to have.

What's available is lobbying and relocation. **Against a regulator, bargaining power barely exists as a concept.**

Ireland and the international agreement.

One country can't beat an international norm. So this country didn't fight.

It chose to collect the minimum tax itself.

If somebody is collecting that tax anyway, better to collect it than let another country do it.

It picked how to lose a negotiation it was going to lose.

Estonia and its users.

Here the country is the side that needs the other.

The digital identity can be declined, and if another country offers something similar, people can move.

So this country has to keep making it easy to use.

The moment you decide to sell, you take the seller's position.

◆ What was different about the ones that survived?

Put the four side by side and the difference resolves into one thing.

	When regulation changed	Why
Trading app	The regional revenue structure disappears	Regulation was **all of box three**
Ireland	Barely moved	Regulation was **one of several layers**
Estonia	Regulation is the product	It **writes the rule rather than obeying it**

	When regulation changed	Why
Grameen Bank	Shook, then came back	Regulation was **the law it exists under**

The survivors have one thing in common.

> **They had a layer other than the one resting on regulation.**

Ireland had language, workforce, and the difficulty of moving. Estonia had the trust it accumulated by going first.

So the way to reduce regulatory risk is not to predict regulation. It's to build one more layer that isn't a rule.

◆ Signals you can see in advance

Book One's Chapter 5 said fault lines usually announce themselves. That's especially true of the regulatory path.

It's the slowest-arriving and most visible fault line there is.

Three things to watch.

One, watch litigation before legislative agendas.

As the grading section confirmed, Book One said to watch legislative debates, and the actual cap arrived through a litigation settlement. **There isn't one road.**

Two, look jurisdiction by jurisdiction.

The same business is banned in one place and survives in another. Lump it all together as "regulatory risk" and that difference is invisible.

Three, look at the country's fiscal position.

Regulation shaped as a tax or a levy accelerates when public finances worsen.

That's why the two countries in Book One's Chapters 23 and 24 did the same thing at the same time.

◆ To sum up

Case	Which layer regulation was	Outcome	What to watch
Free trading app	Effectively all of it	The business split by jurisdiction	Each jurisdiction's effective date
Ireland	One of several	Barely moved	Changes to the size threshold
Estonia	The moat is the rule	It became a product	Imitation by other countries
Grameen Bank	The founding law itself	Shook and came back	The political calendar

◆ Sources for this chapter

1. Regulation of payment for order flow — the EU ban's effective date and legal basis, the end of Germany's

transition, the UK's action, the US disclosure-based approach, and the share of the company's revenue this line represented.

2. Ireland's corporate tax rate, the size threshold for the minimum tax, and 2025 corporate tax revenue and its change.
3. Estonia's e-residency programme — cumulative issuance and countries covered, annual new company formations, state revenue, and operating cost.
4. Grameen Bank's founding statute, the government shareholding and director appointment structure, the 2011 management change, and the amendments from 2024 onward.

◆ Try It Yourself

Think of one place in a company you follow, or in your own work, where **a change in regulation would be a problem.**

Write one line.

> If this were banned, we could earn instead through ______.

If you can fill the blank, that regulation is one layer. Peel it off and the business survives.

If you can't fill it, that regulation is the whole business.

Then today's job isn't worrying about regulation. It's **starting to build one layer that isn't a rule.**

Knowing that you couldn't fill the line is already the start.

Chapter 7 · Technology Substitutes — When What You Were Good At Stops Being Needed

◆ The conveyor left conveyor-belt sushi

Go into a conveyor-belt sushi restaurant in Japan and there's a belt carrying plates. That belt was the format's name and its identity.

Now the plates barely circulate.

You order from a screen at your seat and an express lane brings that plate only. The flat hundred-yen pricing has mostly gone.[1]

The name survived and the device that made the name is gone.

What pushed the belt out? Not a competing category. A better way of solving the same problem simply appeared.

◆ The common misconception — a better product pushes you out

People usually picture technological substitution like this. Somebody builds something with better performance and customers move.

Half right.

It does arrive that way sometimes. And substitution like that **is visible.** A competitor launches, the news covers it, comparison articles appear.

A visible risk can be prepared for.

The genuinely frightening substitution arrives differently.

> **A competitor doesn't turn up with a better object. Something appears that solves the problem your**

> **moat was solving, another way.**

Book One's Chapter 11 said this about payment networks. **"Not a better card network. A road where a card network isn't needed."**

Same structure.

The three cases in this chapter each have substitution arriving in a different form.

◆ Substitution — the technology that built the moat gets pushed out

Back to the belt.

That belt was originally **technology.** The problem it solved was labor cost.

If customers take plates off a moving belt themselves, nobody is needed to take orders.

Which is what allowed prices to drop far enough for flat hundred-yen pricing.

That method carried a price, though.

Plates nobody took have to be discarded, and food circulating in the open raises hygiene problems.

When screens at every seat arrived, the arithmetic inverted. **The same problem — order-taking labor — solved more cheaply, without the belt's drawbacks.**

As labor shortages worsened, the switch stopped being a choice.[1]

Here the first face of this path appears.

> **The technology that built the moat gets pushed out by a technology that solves the moat's problem better.**

And what pushed it out wasn't another category. **It was inside the same restaurant.**

The conveyor sushi companies took their own belts out. The competitor didn't take it. They discarded it.

◆ Commoditization — the differentiator becomes the baseline

The second face is quieter.

There's a hotel brand that makes rooms small, removes the front desk, has guests check in on a machine, and spends the space on large shared areas.

When it appeared this was a clear differentiator. Cheap, and the experience felt designed.

Automated check-in is now in almost every hotel. Opening a door with your phone is ordinary.

A differentiating technology became the industry standard.

What matters here is that nobody attacked this brand. **Everybody simply went the same direction.**

So what's left? Not the technology, but everything that got built with it. Spatial design, location, atmosphere, the name.

It moves into the type from Chapter 4.

> **A differentiator made of technology has an expiry date. You have to build another layer before that technology becomes common.**

Which is the same thing Chapter 12 says about artificial intelligence. Being good at using the model can't be a moat for exactly this reason.

◆ Acceleration — the lead time shortens

The third face strikes not performance but **speed.**

A company selling strawberries and other berries develops its own varieties.

Getting from a seed to something usable in commercial production takes five to seven years.[2]

It patents the varieties it makes and lets only vetted grower partners use them. More than a thousand farms in over twenty countries grow them.[2]

The identity of this moat is **time.**

Copying it means the other side also spends five to seven years. No amount of capital shortens that.

So what happens when that time shortens?

Technologies that speed up plant breeding keep arriving. Halve the development cycle and this moat halves too.

It isn't performance being beaten. **It's the lead time getting shorter.**

This substitution is especially hard to spot.

Revenue is fine and the varieties are fine. **What shrinks is the time available to earn on the next variety.**

> **A moat made of time breaks when that time shortens. And what breaks isn't what you're selling now. It's what you'd sell next.**

◆ Which side needs the other more?

In front of technological substitution the question points not at a counterparty but at **the moment of transition.**

The sushi chain and the equipment supplier.

Taking the belt out and putting screens and express lanes in requires capital spending.

A large chain with cash changes quickly; a small restaurant can't.

The same technological change is an opportunity for the large side and a fault line for the small one.

The rule from this book's grading section appears again. Change doesn't hit everybody equally. **It hits whoever has no cushion first.**

The hotel brand and its guests.

When the technology becomes common, the side needing the other flips to the company.

It used to be *only here is it this easy*. Now it's *everywhere is*.

When the differentiator disappears, so does the bargaining power.

The variety company and the grower farms.

Right now the company is stronger, because without that variety the price isn't there.

As development cycles shorten and alternative varieties multiply, that relationship drifts toward balance.

The size of the moat is the size of the bargaining power.

◆ What was different about the ones that survived?

The survivors in all three cases have one thing in common.

They didn't treat the technology as the moat. They treated what the technology built as the moat.

The sushi chains threw away the belt and kept the supply chain and the store network.

If the belt had been the moat, it should have disappeared with the belt. It didn't.

The belt was a tool and the moat was somewhere else.

Conversely, whoever made the technology itself their identity has nothing to say when it becomes common.

> **"We have this technology" isn't a description of a moat. It's a description of a grace period.**

◆ Signals you can see in advance

Technological substitution, as Book One's Chapter 5 said, **gets noticed late,** because it proceeds while revenue is fine.

Three things to watch.

One, has another way of solving the same problem appeared?

Look at **a list of problems,** not a list of competitors' products.

Write down what customer problem you're solving, and watch where a different solution to that problem is coming from.

Two, how common has your technology become?

Job postings tell you. If everybody is hiring people who can operate that technology, it's already the standard.

Three, is your lead shortening?

Watch not the performance gap but **how long the gap holds.**

If you used to be three years ahead and now it's one, the performance is the same and the moat is a third of what it was.

Attach Chapter 12's conclusion here.

As artificial intelligence becomes common, the third signal is moving fastest.

When the time it took to make something shrinks, moats made of time thin first.

◆ To sum up

Case	Face of substitution	What disappeared	What it survived on
Conveyor sushi	Substitution	The device that built the moat (the belt)	Supply chain and store network sat separately
Budget design hotel brand	Commoditization	The differentiator (automation)	Spatial design and the name
Berry variety company	Acceleration	The lead time	The grower network and distribution

In all three cases **a competitor didn't take anything.**

The method of solving the problem changed, and that method made the old method useless.

> **To watch for technological substitution, look at a**

> **list of problems, not a list of competitors.**

◆ Sources for this chapter

1. Changes in the conveyor sushi format — adoption of touchscreen ordering and express lanes, reduction of circulating service, the end of flat pricing, and the relationship between labor shortages and automation.
2. The berry company's variety development period, patent and cultivation licence structure, contracted farm count and countries served.

◆ Try It Yourself

Write down one thing you're **good at,** in your work or at a company you follow.

> We are better than others at ______.

Now rewrite that sentence once more.

> The problem that being good at it solves is ______.

The second sentence is the heart of this chapter.

A moat isn't in what you're good at. It's in the problem that solves.

And one last line.

> If something solved that problem in a completely different way, what would it be?

If something comes to mind, you've started watching.

If nothing comes to mind, you haven't found it yet. **That is not the same as it not existing.**

Chapter 8 · Customers Move — Why Does Taste Betray You?

◆ The gyms reopened and the members left

There was a company making stationary bikes for the home.

A screen attached, a monthly subscription, an instructor teaching live.

In the pandemic year this company's revenue doubled, and the year after that it more than doubled again.[1]

Then the gyms reopened.

Members started leaving.[1]

There's a question to ask. **Where did those people go?**

Not to a competitor. No better bike came out. **They went back where they had been.**

◆ The common misconception — customers move to something better

Churn makes people think of competitors. Somebody sold cheaper or made something better and took the customers.

Half right.

That happens. And when it does, **it shows up in the market share table,** because your share falls and somebody's rises, as numbers.

This chapter covers the reverse.

> **Most customers don't go anywhere. They just use it less.**

The competitor's share is unchanged and the market itself shrinks. Or people keep the contract and stop using it.

In that case, staring at competitors reveals nothing about the cause.

The three cases in this chapter each have customers leaving in a different way.

◆ They go back — demand made by conditions

Back to the bike company.

That explosive growth didn't come from the product suddenly getting better. **It came from a situation in which you couldn't go to a gym.**

In Book One's Chapter 5 terms, that growth sat **on a condition the moat stood on.**

The condition was *you cannot exercise outside the home*, and it was temporary.

When the condition lifted, the demand went back too.

Member decline continued afterward, with paid subscribers falling year over year at rates in the high single digits to low double digits.

In the most recent confirmable quarter, paid subscribers were 2.66 million, down 214,000 or 7% from a year earlier.[1]

There's one more structural problem in this business.

A machine gets bought once and never again. The subscription sits on top of the machine.

So growing subscribers means selling new machines.

However large subscription revenue looks, when a one-time sale sits underneath it, subscription growth cannot outrun hardware growth.

> **Mistake demand made by conditions for demand made by quality, and when the condition lifts there is no preparation at all.**

And that mistake is easiest to make while the numbers are good.

◆ It cools — they don't leave and they don't use it

The second way is far quieter.

There was a company sending razor blades on a schedule.

Cheap, with funny advertising, it grew enormously and was sold to a large company.[1]

It didn't go as hoped afterward.

Among the conclusions the acquirer reached was this.

A substantial part of this business's performance rested on people not cancelling the subscription after they had stopped using the blades.[1]

Read that sentence through the five boxes.

Book One's Chapter 1 said the customer is **whoever opens the wallet.**

Here the person with an open wallet and the person actually using it had come apart.

People who had already left were mixed into the subscriber count.

Revenue like that looks stable from outside. No cancellations, so the number doesn't wobble.

In reality it is **the weakest revenue there is.**

One trigger — a card renewal, a phone cleanup, a look through the bank statement — and it goes all at once.

A structural problem in online selling compounded it.

Acquiring a new customer turned out not to be cheaper than selling in a store.[1]

Acquire cheaply and hold for a long time was the model's premise, and the first half didn't hold.

> **Don't count customers. Count users. When the gap between those two widens, that's the fault line.**

◆ We don't know yet — a case still running

The third is unresolved, which makes it more useful.

There's a company selling water in a can shaped like a beer can. The name and the design are aggressive and the advertising is extreme.

What's sold is water and the reason for buying isn't water. **It's an attitude.**

The growth was remarkable. Revenue went from $45 million to $110 million to $263 million. Two consecutive years of more than doubling.[2]

The following year was $333 million. **The growth rate bent sharply.** The year after that was projected at around $340 million.[2]

One caveat. **This company is not publicly listed.**

The figures above come not from filings but through investor materials, and the last one is a projection rather than a result. Read them with that in mind.

Doubling became roughly flat.

Here the cause splits two ways.

One is **the shelves filled up.** It's in more than 130,000 stores in the US and UK.[2] When there are fewer places left to add, growth stops. That isn't a fault line, it's maturity.

The other is **taste starting to cool.**

A product selling an attitude sells while the attitude is new. When it becomes common, the signalling value falls.

That's the risk Book One's Chapter 15 named for energy drinks.

With the available material, we can't tell which it is.

And that is the most important property of this path.

Book One's Chapter 5 said: **it gets noticed last.**

Maturity and taste-driven exit appear, early on, **as the same number.**

What this company recently did makes the judgment harder. It's extending into energy drinks.[2]

If the new line sells, total revenue rises again. **And then whether taste for the original product is cooling becomes even less visible.**

◆ Which side needs the other more?

In front of customer movement the counterparty isn't a person. It's a habit. The question is still useful.

The bike company and its members.

The member overwhelmingly does not need the other. They just stop riding.

The machine is already paid for, so the loss is already taken; all that's left is cancelling the subscription.

The company has almost no lever to hold them with.

The razor company and its subscribers.

From outside the company looked like it didn't need them. Cancellations were low.

But that **wasn't leverage. It was indifference.**

Somebody not cancelling because they aren't paying attention cancels the moment they pay attention.

A low churn rate is not always evidence of strength.

The canned water company and retailers.

Here the counterparty isn't only the consumer. It's **whoever holds the shelf.**

While it sells, the retailer gives it space. When turns slow, the space gets taken back. And that judgment arrives quarterly.

Being pushed off the shelf can move faster than taste cools.

◆ What was different about the ones that survived?

The survivors on this path have one thing in common.

The customer's reason for buying had several layers.

With one layer, that layer cooling is everything.

When the reason you had to exercise at home disappears, that's it. When the attitude becomes common, that's it.

With several layers, one cooling leaves the rest.

Book One's Chapter 10 coffee chain was like that. Taste and a place to sit and habit overlapped, so when one wobbled the others held while it bought time to fix it.

> **A customer who bought taste leaves when taste changes. A customer with habit and convenience stacked on top of taste stays.**

◆ Signals you can see in advance

Revenue sees this path late. Three things to watch separately.

One, watch frequency of use rather than customer count.

When the number of people billed each month holds and actual usage falls, that's the earliest signal.

It's exactly what the razor company missed.

Two, watch the age and the channel of new arrivals.

Book One's Chapters 15 and 17 named the same indicator.

While total customers hold, if new arrivals stop, that customer base is **aging along with you.**

Three, watch the second derivative of growth.

Revenue can be rising and **the moment the growth rate bends** is the signal.

And to tell maturity from exit at that moment, split it by product line. Is a new line's revenue covering an old line's decline?

◆ To sum up

Case	How customers left	Why it's noticed late	What to watch
Home bike	They went back where they were	A condition was mistaken for quality	Whether the condition persists
Razor subscription	They didn't leave and didn't use it	Low churn looked safe	The gap between usage and billing

Case	How customers left	Why it's noticed late	What to watch
Canned water	**We don't know yet**	Maturity and exit look the same	Growth rate by product line

In all three cases **nothing appeared in a competitor's share table.**

> **You cannot detect customer movement by watching competitors. You detect it by watching your own customers.**

◆ Sources for this chapter

1. The home bike company's revenue trajectory and member decline, quarterly churn, and subscription revenue share. And the razor subscription company's acquisition and divestment, the acquirer's stated assessment of the business model, and subscriber count changes.

2. The canned water company's revenue and growth rate by year, store count, and new product line launches.

◆ Try It Yourself

Write down every subscription you're currently paying for. Open your phone's payment history and it takes ten minutes.

Then put one letter against each.

> Did I actually use it in the last month? (Y / N)

Anything marked N is this chapter's second case. **You are inside that company's revenue as a ghost.**

Then ask the same question of your own work.

> How many of our customers **pay and don't use it?**

If you've never counted, that's the answer already.

Counting alone puts you ahead of most competitors in knowing.

Chapter 9 · Suppliers Revolt — When the Side Beneath You Comes Up

◆ They won in court and it collapsed anyway

In April 2021, twelve large European football clubs announced they were creating a new competition. Six English, three Spanish, three Italian.[1]

It meant skipping the body that runs the existing competition.

The clubs make the matches; the body sits in the position of bundling them and selling them.

The side creating the value announced it was removing the side in the middle.

It collapsed in forty-eight hours.

Fans rose up and politicians applied pressure. Before midnight that day all six English clubs had withdrawn, and three more followed.[1]

The story doesn't end there.

The two remaining clubs pursued the legal fight, and in December 2023 the European Court of Justice held that the existing body's **prior-approval rules** were contrary to law.

Holding a new competition required the body's authorization, and the criteria for that authorization were neither transparent nor objective nor applied without discrimination.[1]

Something needs to be stated precisely here.

The court did not hold that the body's monopoly was itself unlawful. It did not rule that a new competition may be held. **It found fault only with the absence of criteria in the approval process.**

Still, **legally the side that revolted won.** The rule blocking the road was found unlawful, so the road was open.

And in February 2026 even those two clubs withdrew.[1]

They won and it still didn't happen. Why?

◆ The common misconception — the stronger side wins

Supplier revolt gets read as a contest of strength. When suppliers get strong they take the intermediary's share; when the intermediary is strong it holds them off.

Half right.

It is about strength. **People usually locate the strength in the wrong place.**

Those clubs believed the body's power sat in **its authority to block the road.**

So they attacked that authority in law, and on that point they won.

But what the body actually held was not a right.

It was more than a century of accumulated meaning attached to the competition, and the fans held it.

That's Chapter 4's intangible asset, and its owner was neither the body nor the clubs.

> **To take a moat you first have to correctly identify what the moat is. Attack the wrong layer and winning changes nothing.**

That's the same kind of mistake the author made in this book's grading section. Box four drawn too narrowly. Here the clubs paid for it.

◆ A revolt that can't happen — Maine lobster

The second case is one where a revolt is needed and doesn't get going.

Lobster in Maine is landed by hundreds of independent licence holders, most of them owner-operators working a few boats or one.

Across several years a strange thing happens repeatedly.

The boat price falls sharply and the restaurant price doesn't.[2]

What sits between those two sentences is distribution.

A widening gap means the share taken in the middle is growing.

Through the five boxes it's plain.

The value is made by the harvesters, the value is bought by consumers, **and the position joining them sets the price.**

So why don't the harvesters sell direct? They do try.

Cooperative marketing through producer organizations, dock-direct sales, online shipping straight from the harbor — the attempts continue.[2]

And it's hard. The reason isn't strength. It's **number.**

There are many producers and each one is small.

One of them breaking out to sell direct doesn't move the overall price. All of them have to move together, and moving together requires an organization, and organizations take time and money.

> **Supplier revolt happens not when suppliers are strong but when suppliers can combine.**

That's why Book One's Chapter 7 called music streaming's suppliers strong. The rights to the songs were concentrated in a few large companies. **Combined, therefore strong.**

Lobster is the reverse. Scattered, therefore weak.

◆ Not a revolt but a replacement — Nubank

The third case is different in kind from the first two.

In Brazil a financial company kept climbing the rankings by customer count.

It passed one large bank in 2022, another in 2023, and one more in each of 2024 and 2025.

In 2025 it had the most customers of any private financial institution in the country, and a large share of the adult population uses it.[3]

Over the same period the large incumbent banks' customer counts barely moved. One bank is noted as having roughly the same customer count in 2026 as in 2020.[3]

The important thing here is that **the incumbent banks never had a chance to sit at a negotiating table.**

The grading section at the front of this book produced a rule.

> It assumed a new middleman cuts down whoever was already there. What actually happened is that the already-large side negotiated better terms with that middleman.

The football league negotiated with the streaming companies and won. The hotel chain negotiated with the booking platforms and got terms. The pizza company gave the delivery platform the entrance and kept delivery.

Here that rule didn't operate.

One reason. **The new arrival needed nothing at all from the incumbents.**

The streaming company needed matches. The booking platform needed rooms. The delivery platform needed pizza.

So a negotiation happened, and the side that needed something gave up terms.

The new financial company buys nothing from the incumbent banks. It doesn't rent their branches or take their products.

No need, no negotiation. No negotiation, no bargaining power.

◆ Which side needs the other more?

Here the question this book added to box four **has to be refined.**

The rule from the grading was: *the larger side negotiates better terms.* Run this chapter's three cases against it and a condition gets attached.

> **That rule holds only when the new arrival needs the incumbent.**

Situation	Does the new arrival need the incumbent?	Outcome
Streaming and football	Yes (the matches)	The incumbent extracted terms
Booking platforms and hotel chains	Yes (the rooms)	The incumbent extracted terms
New bank and incumbent banks	**No**	**There was no negotiation**

So box four now has one more thing to ask.

One, sitting across from this counterparty, which side needs the other more? Two, is there going to be a table at all?

If the answer to the second is no, the first is meaningless.

That isn't a negotiation, it's a replacement, and against replacement scale is not a shield.

The lobster case is different again. Harvesters and distributors need each other.

So it's a negotiating relationship, and in that negotiation the scattered side loses.

The same "supplier revolt" — one is a negotiation problem and one is a replacement problem.

◆ What was different about the ones that survived?

The intermediaries that survived this path have something in common.

They held at least one reason why nothing works without them.

The football body had the meaning the fans hold at its back. It lost the legal right and the meaning didn't transfer.

The football league held the matches themselves. The hotel chain held its own membership network.

And what did the incumbent banks hold?

A branch network, an old name, and scale. **And the new arrival needed none of it.**

> **An intermediary's moat isn't "I am large." It's "you have to come through me." When a road appears that doesn't come through you, size doesn't help.**

◆ Signals you can see in advance

As Book One's Chapter 5 said, this path **comes from within.** Three things to watch.

One, is the gap between the two ends widening?

Lobster is the example. When the gap between the dock price and the consumer price grows, that much margin is stacking in the middle, and stacked margin eventually becomes a reason to revolt.

Two, are suppliers combining?

Complaints from individual suppliers are not a signal. **Cooperatives, associations and joint marketing organizations forming** is the signal.

Strength doesn't come from force. It comes from assembly.

Three — and this is the most important — is a road appearing that doesn't come through you?

That doesn't come from the supplier side. It comes from **somewhere else entirely.**

Exactly as Book One's Chapter 11 said about payment networks.

When the public sector lays a new road or technology opens one, it isn't the counterparty that disappears. **It's the negotiation.**

The story from Chapter 12 returns here.

As artificial intelligence becomes common, **the range of things a small team can do without an intermediary keeps widening.**

For a business that lives on intermediation, that's the quietest and largest risk there is.

◆ To sum up

Case	Form of the revolt	Outcome	Why
European football competition	Suppliers tried to skip the intermediary	**Won in court, collapsed anyway**	They identified the moat wrongly
Maine lobster	Producers try to skip distribution	In progress, slow	The suppliers are scattered
Brazilian finance	Not a revolt but a	The incumbents	**There was nothing to negotiate**

Case	Form of the revolt	Outcome	Why
	replacement	got pushed aside	

All three are "supplier revolt" and the conditions differ entirely.

> **Combined, there's a negotiation. Scattered, there isn't. Needing nothing from each other, there's no negotiation at all.**

◆ Sources for this chapter

1. The proposed European football competition — the April 2021 announcement and participating clubs, the withdrawals, the December 2023 European Court of Justice ruling, and the February 2026 final withdrawal.
2. Maine lobster — the number of licence holders and the fragmentation of harvesting, the divergence between boat price and consumer price, and

cooperative and direct-sales attempts. Specific price figures could not be confirmed and are not given.

3. The Brazilian financial company's customer count trajectory and rank changes, and the change in incumbent large banks' customer counts.

◆ Try It Yourself

Think of one **counterparty** in your work or at a company you follow. Someone who supplies you or someone who sells for you.

Write two lines.

> If they stopped going through me, what they'd lose is ______. If I stopped going through them, what I'd lose is ______.

Compare the two and you can see who needs whom right now.

Then one more line.

> If a road appeared that neither of us had to go through, it would be ______.

That third line is the heart of this chapter.

The first two lines are about a negotiation. The third is about the negotiation disappearing.

If you can fill the third line, you're already looking further than most people.

Chapter 10 · Growth Breaks Itself — Dying by Getting Big

◆ Five hundred and thirty opened in a year, three hundred closed the next

A Chinese hotpot chain was famous for treating customers extraordinarily well.

Manicures while you wait, snacks brought out. People queued anyway.

And the company decided to expand hard.

It opened 530 restaurants in 2020, and 299 more in the first half of the next year, reaching close to 1,600.[1]

Profit collapsed over the same period. Between 2019 and 2020 it fell by more than 80%.[1]

And in 2021 the company announced it would close or suspend 300 locations, **acknowledging that it had over-expanded.**[1]

There's a question to ask.

Did a competitor appear? Did the technology change? Did regulation arrive?

None of the three. **The expansion is the entire story.**

◆ The common misconception — growth is good, speed is the problem

When growth goes wrong, people usually summarize it as: right direction, too fast.

Half right.

Sometimes speed is the problem. Read it only that way and the remedy is *let's go slower*, which doesn't stop this path.

There's something that makes this path decisively different from the other four.

> **Regulation, technology, customers and suppliers all come from outside. Only this one comes from inside. And the company decides to build it.**

And there's something worse.

The signal of success and the signal of collapse appear as the same number.

More locations means more total revenue. More revenue reads as growth.

And inside it, each individual location's performance may be falling.

```
Total revenue = locations × revenue per location
```

Grow the first and the total rises even as the second falls.

Which is why this fault line is invisible to the end to anybody watching only total revenue.

◆ Acknowledging it and closing

Look again at what the hotpot chain did.

What broke? **Box two.**

What this company sold wasn't only food. It was **the treatment.** And the treatment is made by well-trained staff.

Open five hundred places in a year and you have to hire and train that many new people.

The moment the rate of expanding exceeds the rate of teaching, what you're selling changes.

Same sign outside, different thing coming out inside.

In Book One's Chapter 5 terms, **a condition the moat stood on** got shaken.

Staff treat customers at this level was the condition, and that condition was tied to the time it takes to develop people.

What's worth learning here is the closing.

Reversing an expansion is far harder than deciding on one. Revenue falls, losses get booked, and failure has to be admitted.

Chapter 11 says the larger the company, the higher the price of reversing direction. This is a case of that price being paid.

◆ The signal is lit and the openings continue

There's a company in the same industry that made a different choice.

A Mexican-food chain grew well for a long time.

Recently comparable store sales bent. It was the first quarterly decline since 2020, and the year finished down as well.[1]

Split the number and it's clearer.

Comparable sales fell, and **transactions fell while the average ticket rose slightly.**[1]

Fewer people came, and each person spent a little more.

That's a textbook late-stage signal, because price is covering a decline in customers.

And covering with price has a limit.

And over the same period this company continued a plan to expand past four thousand locations.[1]

Here the judgment splits.

If new locations bring new customers in new areas, it's the right decision.

If they divide the existing locations' customers, **total revenue holds while per-location performance keeps**

falling.

Book One's Chapter 9 said this about the pizza franchise.

> Keep adding stores and past some point the new one takes the old one's customers. Total revenue rises while per-store revenue falls. (…) **The indicators are green while franchisee profitability gets worse.**

The same structure is running in real time at a different company.

Which one it is will be known in a few years.

◆ When the thing being sold wears out

The purest form appears not in a company but in a country.

There's an island nation with a population under four hundred thousand.

People come because there are few people and the nature looks untouched.

Visitors grew. There are now more than five visitors per resident.[2] Annual visitors run around 2.6 million, with projections above three million.[2]

And the country has fewer than thirteen thousand hotel rooms in total.[2]

The center of the capital is described as having become hard for residents to live in. Housing costs rose and it's crowded.[2]

Think again about what was being sold here. Quiet, and untouched.

When more people come to buy that, the thing they came to buy shrinks.

This is different in kind from the other fault lines.

Not a competitor, not technology, and not even a mistake by the company. **Demand itself consumes the product.**

The government is considering a large increase in the fee charged to visitors.[2]

Reducing the amount sold in order to protect what's being sold — **exactly the defense used by the intangible assets in Chapter 4.**

◆ Two more ways growth changes the conditions

The remaining two cases are other faces of the same path.

One, growth makes the original design unusable.

There's a furniture company with large suburban stores that walk you along a fixed path.

That path was the company's device. Walking it, you buy things you didn't come for.

But when people live in city centers and start buying online, the selling has to happen where the device can't be used.

Moving to small city-center stores and delivery can raise revenue. **That revenue just doesn't contain the original device.**

Growth doesn't remove the moat. **It carries the company somewhere the moat doesn't work.**

Two, a grown market binds the company to that market's conditions.

An American professional sports league grew enormously overseas, particularly in China.

The growth was good. And the share of revenue from that market grew with it.

As the share grows, exposure to whatever happens in that market grows too.

It reaches a state where a single friction can shake that market's revenue.

Book One's Chapter 20 said of the desert city that the dependence is "one layer removed, which is why it's hard to see."

Same structure. **Dependence created by growth is the back side of growth, so it's invisible while you're growing.**

◆ Which side needs the other more?

On this path there is no counterparty outside. So the question turns inward.

The company and itself.

The person deciding on growth and the person paying for that decision are different people.

Head office is judged on location count; the location lives on revenue per location.

Investors watch total revenue; the floor watches customer count.

When different people inside one company are watching different numbers, this fault line grows where nobody is looking.

And usually the side deciding on growth is the stronger one, because while the numbers look good the grounds for objecting are weak.

On this path the side that always needs the other is the floor.

Which is where the signal shows up first. It just doesn't travel upward well.

◆ What was different about the ones that survived?

One thing separates the cases in this chapter.

Whether growth can be stopped or reversed.

The hotpot chain closed. The price was high and it reversed the condition. The island nation is trying to regulate volume with a fee.

Conversely, expanding while the signal is lit is deferring that judgment.

That doesn't mean it's wrong. **It means that past the point of reversal, the price of reversing rises.**

The intangible asset cases in Chapter 4 were strongest against this path for the same reason.

Having decided in advance not to expand, they never had to decide whether to expand.

> **Only an organization that decided in advance not to grow resists the temptation of growth. Decide case by case and every good stretch tilts toward expanding.**

◆ Signals you can see in advance

Revenue never shows this path. Three things to watch separately.

One, watch performance per unit.

Revenue per location, revenue per employee, usage per customer. **When the total rises and the unit falls, that's the signal.**

Two, split customer count from average ticket.

If comparable sales hold while transactions fall and price rises, **price is covering.** The second case above is that.

Three, ask whether what you sell is the consumable kind.

If you sell quiet, or scarcity, or specialness — **things that shrink as you sell them** — then growth itself is burning inventory.

In a business like that, the growth plan is the depletion plan.

◆ To sum up

Case	What growth broke	Response	Outcome
Hotpot chain	The quality of treatment (box two)	Acknowledged it and closed	Paid the price and reversed
Mexican-food chain	Per-location performance	Keeps expanding	In progress
Tourism nation	The thing being sold	Regulating with a fee	In progress
Furniture company	The device called the walking path	Expanded by changing format	The moat didn't come along
Professional sports league	— (a dependence formed)	—	Exposure grew

Not one competitor appears in five cases.

> **On this path what destroys a company is the company's own growth decision. And that decision is always made when results are at their best.**

◆ Sources for this chapter

1. The hotpot chain's openings by year and total location count, the scale of the profit decline, the closure and suspension announcement and the company's explanation. And the Mexican-food chain's comparable store sales trajectory, the split between transactions and average ticket, and the expansion plan.
2. The tourism nation's population and annual visitor count, visitors per resident, national hotel room count, and the debate over raising the visitor fee.

◆ Try It Yourself

Pick **one total number** and **one unit number** from a company you follow, or from your own work.

> Total: revenue, member count, or location count Unit: revenue per location, usage per member, or revenue per employee

Then write the recent direction of each as an arrow.

> Total (↑ / → / ↓)   Unit (↑ / → / ↓)

Total ↑ with unit ↓ means this chapter's story is happening right now.

Both ↑ is healthy growth. Both ↓ and everybody already knows.

The dangerous one is the middle, and it's only visible if you go looking.

Being able to draw two arrows is enough.

Most companies are watching only the first one.

Part Three · Why Don't Companies Live Long?

◆ From one company to companies in general

Parts One and Two looked at one company's moat. Part Three widens the view.

Ch	Contents
11	Where did the great companies go?
12	Two-hundred-year shops — why is the long-lived side small?
13	When the five boxes are wrong

Chapters 11 and 12 are **opposite samples.**

On one side are the largest and most analyzed companies in the world. And a considerable share of them don't last half a century.

On the other are small shops nobody has heard of. And they pass several centuries.

Put the two samples side by side and one piece of conventional wisdom breaks.

> **Lifespan is not a function of size.**

That conclusion leads into Part Four and the closing.

Because if you can last without scale, there's a road for a founder with no capital, and for a country with a small domestic market.

Chapter 13 points at this book's own tool.

Taking companies that read as sturdy through the five boxes and collapsed, and companies that read as a mess and survived, it sets out **what this frame cannot see.**

Book One's opening already recorded the limit.

> The five boxes tell you **the range of what's possible.**
>
> They don't tell you the outcome.

That one sentence gets repaid with a chapter.

Part Three

Chapter 11 · Where Did the Great Companies Go?

◆ Eleven names

A business book came out in 2001.

The author swept 1,435 US public companies and applied one condition: keep only companies that had performed ordinarily, then made a leap at some point, and after that beat the market substantially **for fifteen years.**

The fifteen years was a device to filter out companies that got lucky for a year or two.

Eleven companies passed that sieve.[1]

> Abbott · Circuit City · Fannie Mae · Gillette · Kimberly-Clark · Kroger · Nucor · Philip Morris · Pitney Bowes · Walgreens · Wells Fargo

That list wasn't chosen by instinct or taste.

Fourteen hundred companies were filtered by numbers, and whether good performance continued **for more than fifteen years** was tested.

Each company was paired with a comparison company to examine what differed.[1]

It was about as rigorous as work in a business book gets.

(The eighth name changed after the original edition was published. The name as printed in the original is used here.)

Then twenty-five years passed.

◆ The list did not hold

Circuit City filed for bankruptcy in 2008.[2] It had been among the highest market-relative returns in the book.

Fannie Mae was at the center of the 2008 financial crisis. The share price lost most of its value.[2]

Gillette was sold to another company in 2005.[2] It didn't fail. **It stopped existing as an independent company.**

Wells Fargo went through a series of sales practice problems afterward.[2]

The rest held their places. Nucor, Kroger, Walgreens, Kimberly-Clark and Abbott are still here.

But it has been pointed out repeatedly that buying the whole list at publication and holding it would have failed to keep up with the market index.[3]

Close to half of the eleven did not maintain the "great" state afterward.

◆ This chapter is not an attack on that book

Let's be clear about the direction.

The easiest conclusion is *the author was wrong.* That conclusion teaches nothing. It also isn't accurate.

Most of what that book found still holds.

Management attitude, the principle of getting the people on the bus first, the demand to concentrate on what you're good at — no evidence has emerged that those are wrong.

The findings were not what was wrong. The list was.

And the author was the first to acknowledge it.

In 2009 he wrote a separate book on the stages by which companies fall.[4] He wrote it while watching his own list wobble.

There's something to learn from somebody who watched his own conclusion collapse and wrote the next book.

It's the same reason the author graded his own Book One at the front of this one.

◆ Why didn't the list hold?

Through the five boxes the reason converges to one thing.

Every selection criterion in that book looks backward.

Beating the market for fifteen years is strong evidence.

What it proves is that **the moat worked during those fifteen years.**

What the moat rested on, and whether that condition persists, is not inside that number.

Take Circuit City. Large stores, deep inventory, trained staff selling.

That method was strong because **consumers had no other way to compare prices and specifications.**

You had to go to a store to see the thing and hear the explanation.

That condition disappeared. And then a large store isn't a moat. It's rent.

Exactly as Book One's Chapter 5 said. **The moat turns into a liability.**

Fifteen years of performance cannot announce that transition.

The reverse, if anything. Good performance means that condition held well throughout — **and the better a condition holds, the more people stop thinking of it as a condition.**

◆ The largest companies don't last half a century

This isn't one company's story.

One study found that the average time a company stays in a major US index fell from 61 years in 1958 to 25 years in 1980 and to around 18 years by 2012.[5]

That figure gets quoted widely. **And the caveat usually gets dropped when it is.**

What the study counts is not a company's lifespan but **time spent in the index.**

Leaving the index happens through acquisition as well as bankruptcy. A company sold to another company and removed from the index did not die.

Gillette is that case.

So stated precisely:

> **It isn't so much that large companies die faster. The list of large companies turns over faster.**

That fact is still heavy.

A list turning over fast means **the largest company today is unlikely to be the largest company in twenty years.**

Which leads to this book's question. Why can't the side that got big hold its place?

◆ Having gotten big eats the moat

The path covered in Chapter 10 shows up here at scale.

The conditions that built a moat are usually **the conditions of being small.**

You knew a particular customer well, and a particular method fit that customer. The company grows on that fit as its stake.

But growing means going outside the original customer.

The moment you go, box one blurs. Who this company sells to becomes less clear.

And as the organization grows, the signal that a condition has changed takes time to travel upward.

One more thing attaches. **A big company has something to protect.**

When a new method appears, a small company has nothing to lose and switches.

A big company has to demolish the structure currently producing its profit in order to switch.

It can be done. **The price of that decision just scales with size.**

Book One covered the coffee chain, and this book's grading section confirmed that the company gave up profit to buy back the store experience.

That's the price of this decision. A large company can reverse direction. **It just can't do it for free.**

◆ Trust the tool, not the conclusion

There's one sentence to take from this chapter.

> **A rigorous method does not produce a permanent conclusion.**

Filtering 1,435 down to eleven was not sloppy work. And the list didn't survive twenty-five years.

Not because the method was weak, but because **no method reads future conditions out of past performance.**

Which is why this book does not offer company names as conclusions.

The five boxes show what this company is standing on now. They don't guarantee it will be standing in ten years.

What the reader should take away is **the questions, not the list.**

- What does this company's moat rest on?
- Is that condition changing now?
- Is there evidence the company is reading the change?

The third question matters. Conditions change regardless.

What separates companies is **whether they're prepared to see the change and pay the price.**

◆ Sources for this chapter

1. Jim Collins, *Good to Great: Why Some Companies Make the Leap… and Others Don't* (HarperBusiness, 2001) — the number of companies screened, the selection criteria, and the eleven selected companies.
2. What happened to individual companies afterward — Circuit City's bankruptcy filing (2008), Fannie Mae's share price decline and entry into conservatorship (2008), completion of the Gillette acquisition (2005), and actions relating to Wells Fargo's sales practices.
3. Analyses showing the eleven companies' post-publication returns trailed the market index.
4. Jim Collins, *How the Mighty Fall: And Why Some Companies Never Give In* (2009).

5. Innosight, *Corporate Longevity* series — the trend in average tenure of index constituents (61 years in 1958 → 25 in 1980 → 18) and how it is calculated.

◆ Try It Yourself

Pick the company you work for, or one you follow. Then think of **the period when it was doing best.**

Write one line.

> The reason that method worked then was ______.

Now read the blank again.

Separate whether what's written there is something the company did, or **the way the world happened to be at the time.**

If it's the way the world was, that's a condition. And conditions change regardless of how well or badly a company performs.

If you got this far, this chapter's point is already in your hands.

Plenty of people read the report card. Few read the conditions that produced it.

Chapter 12 · Two-Hundred-Year Shops — Why Is the Long-Lived Side Small?

◆ A 1,300-year-old inn and a 3-year-old company

A hot spring inn in Yamanashi, Japan, states that it opened in the year 705. The same family has run it from then until now.[1]

The list of large companies in the previous chapter didn't survive twenty-five years. Average tenure in the index fell to eighteen.

One is thirteen hundred years and one is eighteen.

And right now, something much shorter is being created.

The industry keeps repeating a forecast that a considerable share of new companies built on artificial intelligence will close within 2026.

When the company that makes the model adds one feature, the companies whose entire business was that feature lose their footing at once.[2]

Thirteen hundred years and three. What sits between them?

◆ The common misconception — small means unnoticed, so it survived

Stories about old shops usually get summarized this way. They were small, so they weren't a competitive target, and quietly survived.

Half right.

Being small is not by itself safety.

A Japanese credit research firm swept roughly 1.47 million companies in its own database and found about

33,000 that had passed a hundred years since founding. **About 2.27%.**[3]

Meaning two or so companies in a hundred currently trading have passed a century.

Old shops look common because they're conspicuous. They're actually very rare.

And the important thing here isn't that those two are mostly small.

It's that the ones that disappeared were mostly small too.

Smallness is present on both the surviving side and the vanished side. Something present on both sides cannot be the cause.

So the question has to change. **They didn't survive because they were small. The survivors happened mostly to be small.**

Cause and effect were reversed.

What left those two?

◆ Read through the five boxes

Put an old shop through the five boxes and the shape is distinct.

What goes in box four is usually a single **intangible asset.**

The name, the trust attached to that name, and the fact of having been in that spot that long.

Not economies of scale. Not a cost advantage.

And this moat has an unusual property. **It can't be bought with money, and time can't be skipped.**

A competitor arriving with a hundred times the capital still cannot buy a hundred years.

The sentence from Book One's Chapter 4 on intangible assets appears here at its extreme.

Box five is more interesting. **A lot of it is empty.**

The path from Chapter 10 — growth breaking itself — is closed entirely, because they never opened branches.

Don't grow the scale and there's no fault line that scale creates. There's little room for suppliers to revolt or intermediaries to insert themselves.

A small moat, and correspondingly few fault lines. That's the structure of longevity.

◆ AI re-prices the five boxes

Up to here it could read as history. What's happening now suddenly makes it present tense.

The cost of using AI models fell sharply.

To quote a number you have to state the basis. One annual survey defined it as **the cost of achieving the same score on the same test.**

On that basis, between November 2022 and October 2024 the cost fell to **less than one two-hundred-and-eightieth.** Twenty dollars per million tokens became seven cents.[2]

What does that mean? **It means being good at using the model can't be a moat.**

When the price keeps falling and anybody can buy it, that's not a moat. It's a raw material.

Which is why the phrase *model access was never a moat* circulates in the industry.[2]

Put that change against the five boxes and you can see them re-priced.

The five types from Book One's Chapter 4	After AI became common
Economies of scale	**Worth less** — the same work happens without big equipment
Cost advantage	**Worth less** — process efficiency is replicated fastest
Network effects	Unchanged — people gathering doesn't automate
Switching costs	**Worth more** — accumulated records and workflows are hard to move
Intangible assets	**Worth more** — only what can't be fabricated keeps its value

There's one piece of corroboration.

Gather the industry discussion of what counts as a durable moat in AI and it narrows to roughly: **accumulated proprietary data, embedding in the workflow, your**

own distribution channel, brand and trust, and network effects.[2]

That list is not any institution's research finding. **It's the author's compression of discussion scattered around.** So read it as circumstance rather than evidence.

Cost advantage and economies of scale are not on that list.

And what remains maps exactly onto the last three of Book One's five types.

No sixth box is needed. The boxes were re-priced.

◆ The companies dying right now

So what is dying?

The fastest to disappear are **companies that wrapped a thin shell around a model.**

When what you can do is nearly identical to what the model could already do, the business ends the day the model's maker ships that feature.

The industry says hundreds of companies have lost their footing this way.

But that is **an estimate, not a count.** No published basis for counting was found.

So the scale is not asserted as a number, only that this keeps happening.[2]

Read through the five boxes and the cause of death is plain.

Box four was empty. And that fact was hidden while box three looked good, because money was coming in.

Book One's opening said this.

> If there's a box you can't fill, that's either this company's weak point or something you don't know

> yet.

For these companies, the box that produced no answer was box four.

And nobody asks whether that box is empty while revenue is rising.

That's the difference between the thirteen-hundred-year-old inn and the company that vanished in three years.

One put something in box four that only accumulates through time. The other put in something money can buy.

If money can buy it, somebody else can buy it too.

◆ Choosing not to grow

Let's block one misreading.

This chapter isn't saying don't grow.

The economies of scale in Chapter 1 are a real moat. There are businesses that can only be built with scale, and in those, getting big *is* the defense.

The point is that **growth is a choice rather than the default.**

Choose growth and you gain things, and doors open. At the same time several of Part Two's fault line paths open with them.

Suppliers get stronger, intermediaries insert themselves, you drift away from your original customer.

The old shops decided not to open that door. **In exchange they don't earn a lot.** That's a trade, not a superiority.

Except that now, with AI common, the terms of that trade have changed.

There used to be a great deal you couldn't do without being large. **The range of what a small team can do is now much wider.**

Which means choosing not to grow gives up less than it used to.

◆ Lifespan is not a function of size

Put the previous chapter and this one side by side and a piece of conventional wisdom breaks.

On one side are the largest and most analyzed companies in the world. And the list didn't survive twenty-five years, and index tenure fell to eighteen.

On the other are small shops you've never heard of. And they passed a hundred years, two hundred, and one of them a thousand.

> **"You have to get big to last" does not hold.**

And AI pushes that conclusion along.

The moats losing value are the ones resting on scale and cost. The moats gaining value are the ones resting on time and trust.

Starting small is no longer the disadvantaged position.

That conclusion leads onward.

If you can last without scale, there's a road for a founder in a small domestic market too.

The closing takes up that story.

◆ Sources for this chapter

1. Nishiyama Onsen Keiunkan's founding year (705) and whether it has been run by the same family.
2. Cost decline and moat discussion in artificial intelligence — the magnitude of the fall in model usage cost, the number of companies eliminated by feature absorption, and the items named as durable moats.
3. The number and share of Japanese companies past a hundred years since founding — about 33,000 out of

roughly 1.47 million companies in the research firm's database, about 2.27%.

◆ Try It Yourself

Think of the oldest shop in your neighborhood. Anywhere that's been in the same spot for more than ten years will do.

Write one line.

> The reason that shop is still there is ______.

Then check the blank.

Can what's written there be bought with money?

If it can, it isn't a moat.

If it can't, that shop can hold out against a competitor with a hundred times the capital.

And one more thing. If you're planning to start something, ask yourself the same question.

Is there anything at all I'm accumulating that money can't buy?

If there isn't, you're still at the beginning. Knowing that is the beginning.

If there is, however small, you're already filling the hardest of the five boxes.

Chapter 13 · When the Five Boxes Are Wrong

◆ A tool that has never been wrong is useless

A frame that explains everything predicts nothing.

If whatever happens you can afterward say *box four was weak*, that frame isn't explaining. **It's manufacturing a story.**

To be a tool it has to be capable of being wrong, and when it's wrong you have to be able to point at where.

This book was actually wrong earlier. It graded eighteen predictions from Book One and three were wrong.

Those three are this chapter's material. No new cases get found.

Looking at where you were wrong is the most honest way to measure a tool's limits.

◆ Two different kinds of failure

Something has to be separated first.

When people say a tool was wrong, two completely different things are mixed together.

	Kind of failure	Whose fault
A	The box was filled in wrongly	**The user**
B	The answer was outside the boxes	**The tool**

This distinction matters because most of *this frame didn't fit* is actually **A.**

And **A** is fixable. Only **B** is a real limit.

The three wrong ones in the grading were all **A.**

◆ The three misses were in the same place

Football, hotels, pizza. All three were a new middleman arriving, and all three were wrong the same way.

> It assumed a new middleman cuts down whoever was already there. What actually happened is that the already-large side negotiated better terms with that middleman.

That isn't something the five boxes can't see. **Box four was drawn too narrowly.**

Box four recorded only *this company's moat* and not the counterparty's moat.

The middleman has a moat and the company has a moat. When they meet, **whoever needs the other more gives up the terms.**

So box four should have had one more question in it.

> **Sitting across from this counterparty, which side needs the other more?**

The hotel chain didn't need them. Without the booking platform it has its own membership network. So it extracted terms.

The independent hotel did need them. So it couldn't.

The same middleman arrived and the outcome was opposite.

Put that question in and all three would have read differently.

The tool wasn't wrong. The tool was used shallowly.

◆ The real limit — what the five boxes can't see

Now for **B.** However deeply you use it, some things don't come inside this frame.

Book One's opening already said it in three lines.

> How well a company is operated, how well it uses people, how quickly it decides — none of that fits in this frame.

After writing a second book, that resolves into three things.

One, execution.

In the grading, the coffee chain's fault line was named precisely. That the action raising turnover was cutting into the value called *a place to sit.*

And the company read it, reversed direction, and gave up profit to pay for it.

The five boxes showed the fault line. **They didn't show whether the company would fill it.**

Structure decides what can happen. Execution decides which of those happens.

Two, timing.

The risk named for football is still valid. The audience aging is unchanged.

The risk just had a force in the opposite direction arrive before it.

"It breaks" and "it breaks when" are entirely different predictions.

Structure gives you the direction and not the speed. And in business speed changes the outcome.

A risk arriving in ten years is also ten years in which the company can build something else.

Three, shocks from outside.

War, epidemic, financial crisis, an abrupt technological shift.

These don't check the structure on the way in. They hit the well-built house and the badly built one together.

There isn't much this book can say about that.

One thing can be said. **What separates companies after a shock passes is structure.**

Hit by the same shock, the side with cash and the side without, the side with heavy fixed costs and the side with light ones, survive differently.

Shocks can't be predicted. Resilience can be read from structure.

◆ Companies with bad structure that hold on

The other side has to be looked at too.

There are companies that read as a mess through the five boxes and are still here.

Usually there's a reason. A government props them up, regulation blocks competition, too much is riding on them to let them fail, or somebody keeps funding them.

And most of those are not outside the boxes.

Government support is box four. A regulatory barrier is box four.

If the analysis didn't record it, that isn't a limit of the five boxes. **It's drawing the boxes' boundary at the company's own fence.**

The same mistake as the bargaining power above. The company was looked at and the position the company sits in wasn't.

So when something seems to be *holding on with bad structure,* ask first.

> **Is box four really empty, or did I look for box four only inside the company?**

◆ Why use this frame anyway

The limits are stated, so now the conclusion.

The five boxes don't give you answers. **They organize the questions.**

That can sound small. And the difficulty people actually have judging a business isn't the absence of answers.

It's not knowing what to ask.

There are plenty of numbers and plenty of news, and which of it relates to this company's fate is invisible.

The five boxes leave five questions out of that pile.

And the sentence from Book One's opening comes back here.

> If there's a box you can't fill, that's either this company's weak point or something you don't know yet. **Knowing which of the two it is gets you halfway there.**

Having written two books and graded one, that sentence is truer than when it was first written.

Every wrong answer in this book came from **a place where I didn't know which of the two it was.**

Box four was drawn narrowly and then treated as complete.

A tool works only as far as the diligence of the person using it.

Filling boxes is easy. Doubting whether the boxes are actually full is hard.

The frame only becomes a tool for somebody who keeps doubting.

◆ Try It Yourself

Pick one company covered in this book or in Book One. Then doubt the author's analysis.

Write one line.

> A reason this analysis could be wrong is ______.

Then decide whether it's **A** or **B.** A box filled in wrongly, or an answer outside the boxes.

If **A,** point at which box. And fill it in again.

That's what this book's author did in the grading, and it's how he found that all three misses were box four.

Training yourself to doubt the author is training yourself to read.

If you got this far, you can read without this book now.

Part Four · So What Do You Build?

◆ Everything so far was diagnosis

Something to admit.

Part One looked at how moats are made. Part Two looked at where they crack. Part Three looked at how far the tool holds.

All three parts were the work of taking somebody else's company apart.

So the ability a reader has gained by this point is one thing. **Look at a company and see where it's weak.** That's a useful ability.

And with only that ability you can't build anything.

> **The eye that finds weakness and the hand that builds something are different organs.**

That's the difference between a critic and a founder. A critic can stop at Part Three. **Somebody who intends to build cannot.**

◆ The disease you get from analyzing too long

A tool like this one has a side effect. Use it long enough and this happens.

- Whatever business you hear about, **why it won't work** is what you see first
- Run the five boxes and most ideas have a blank
- The blanks are visible, so you don't start

There is no idea with no blanks. The companies that succeeded enormously were full of blanks at the start.

Not one of the companies in Parts One and Two had all five boxes filled in its first year.

So the tool must not be used this way.

> **The five boxes are not a checkpoint that stops you from starting. They're an order of operations for deciding what to fill first.**

Part Four is about that order.

◆ What this part does

Ch	Contents
14	Turning the diagnostic tool around — a fault line is somebody's grave and your entrance
15	Twenty-five boxes — making ideas by combination

Ch	Contents
16	The two moats you can plant with no capital
17	Ninety days — an execution plan

Chapters 14 and 15 are **methods for making.**

Not inventing something that didn't exist, but **turning around and combining material already in this book.**

Chapter 16 is **what to plant.** There are two things you can plant without capital, and they're the same two this book has been tracking throughout.

Chapter 17 is **when to do what.** It has dates on it.

And it contains the strangest item in this book. **Writing down the conditions for quitting before you start.**

◆ Something to state up front

Part Four is different in character from the first three.

Parts One through Three covered **what happened.** Whatever could be confirmed was confirmed and written down.

Part Four covers **what to do next.** That isn't the kind of thing that can be confirmed.

So Part Four contains almost no company names and almost no new numbers. **It uses only material already confirmed in the first three parts.**

The same reason it doesn't line up success stories.

That's what Chapter 11 taught. **Gather companies that did well and extract the common features and those features age in a few years.**

So read Part Four this way.

> **Not "do this and it works," but "think in this order and the blanks shrink."**

Part Four

Chapter 14 · Turning the Diagnostic Tool Around

◆ Where something collapses, a space opens

Part Two looked at five fault lines.

Regulation changes, technology substitutes, customers move, suppliers revolt, growth breaks itself.

All of it was read as **the story of somebody collapsing.**

But when something collapses, that place stands empty. **And an empty place is a door.**

> **The same five are somebody's grave and your entrance.**

This chapter does that inversion. No new theory gets imported. **It only rereads Part Two from the other**

direction.

◆ The common misconception — find an empty market

The most common piece of startup advice: find what nobody is doing, go where there's no competition.

Half right.

No competition is comfortable. And **there's usually a reason nobody is doing it.**

There's no money in it, it's blocked by law, or nobody wants it yet.

What you should actually aim at isn't an empty market.

> **It's a place somebody was serving until conditions changed and they could no longer serve it.**

That place is different. **The demand is already proven,** because somebody was paying.

The supplier simply couldn't clear the changed condition.

And this book has already sorted where those places appear into five.

◆ The five entrances

One. Where regulation changed

Chapter 6 treated regulation as **a force that breaks moats.** Inverted, it reads like this.

When regulation changes, two kinds of demand appear at once.

Demand from the side that has to comply, and **demand for a way to do what just became impossible.**

The first is especially large. A new rule makes complying with it a job in itself.

And complying is usually **dull and repetitive, so large companies don't rush at it.**

Timing is what matters. Regulation is usually published with a gap before it takes effect.

That gap is the window. Enter after it's in force and you're late.

The e-residency programme from Chapter 6 is the example. The rule came first, and the work of helping people use it attached on top.

Two. Where technology substituted

Chapter 7 looked at technology replacing people and methods. Inverted, two things emerge.

One is the people left behind by the substitution.

Not everybody moves to the new method. Some always remain.

Their numbers shrank so large companies stopped paying attention, and **they still pay.**

A shrunken market is a large enough market for a small operator.

The other is the people who can't use the new tool.

A tool arriving doesn't mean everybody uses it. As Chapter 12 showed, the more common the tool, **the more the valuable ability is knowing what to point it at, not being able to operate it.**

The tool approaches free, and **whoever knows where to apply it** stays rare.

Three. Where customers moved

Chapter 8 looked at three ways customers leave. They go back, they migrate, they get bored.

Inverted, **nobody is ready yet where they moved to.**

When people move somewhere new, everything needed in the new place appears at once — and the existing suppliers, with equipment and staff sitting in the old place, arrive late.

That lateness is the window.

One thing to be careful of, from Chapter 8.

You have to separate whether what moved was a trend or a condition. A trend moves again; a condition doesn't come back.

Four. Where suppliers can't combine

Chapter 9 is the easiest chapter to invert.

It said **combined, there's a negotiation; scattered, there isn't.**

Maine lobster was that. They produce and they're scattered, so they don't get the price.

Inverted, it reads like this.

> **Where suppliers want to combine and can't, the role of combining them stands empty.**

That's very common. Places with many makers and no selling power are everywhere.

Agriculture and fisheries, crafts, regional products, freelancers, small manufacturing.

And this position **takes almost no capital,** because the making is already being done by somebody else.

What's needed isn't equipment. It's **trust and a route to market.** Chapter 4's intangible asset.

The warning is in Chapter 9 too. **If the combiner becomes a new middleman, the same problem repeats.**

So going into this position means publishing **how the share gets split** from the beginning.

Five. Where getting big made it impossible

Chapter 10 looked at growth breaking itself. This is the most valuable inversion.

As a large company grows, there are inevitably things **it becomes unable to do.**

- Doing it differently for each person
- Orders too small to be worth the overhead
- Work where the answer has to be fast
- Making an exception that isn't in the rules

That isn't the company being bad. **It's a necessity of having gotten big,** because scale can't be carried without standardizing.

> **Look for what the large side cannot do, not what it doesn't want to do.**

What they don't want to do, they'll do if they decide to. **What they cannot do is structural.**

And structure doesn't change. That's the safest position a small operator has.

◆ The five entrances in one table

Fault line (Part Two)	Inverted (entrance)	Nature of the position
Regulation changes	Compliance work appears	The window is before it takes effect
Technology substitutes	Those left behind · those who can't use it	A shrunken market is large for a small operator
Customers move	Where they moved to is empty	Existing suppliers arrive late
Suppliers revolt	Nobody is combining them	Takes almost no capital
Growth breaks it	What the large side **cannot** do	Structural, so it doesn't change

All five lines come straight from Part Two. Nothing new was made.

◆ But an entrance is not a moat

There's a sentence that has to be attached here.

Going into an empty space and holding that space are different jobs.

The space isn't empty only for you. It's empty for other people too.

And a space created by a change in conditions has **several people who saw the same change.**

The fault line helps you get in. Stop there and in a few months there will be five people standing in the same place.

From then it's a price fight, and a price fight is won by **whoever has more money.**

> **A fault line opens the entrance. A moat holds the position. You plant while you enter.**

What to plant is Chapter 16. Before that, Chapter 15 covers **how to pair entrances with moats.**

◆ To sum up

- Part Two's five fault lines are **somebody's grave and your entrance at once.**
- Aim not at an empty market but at **a place where changed conditions removed the supply.** The demand is already proven.
- Look for what the large side **cannot** do, not what it doesn't want to do. Structure doesn't change.
- Where suppliers want to combine and can't, **almost no capital is required.**
- **An entrance is not a moat.** You plant while you enter.

◆ Try It Yourself

Divide a sheet into five lines and write the five entrances from the table.

Then write one item on each line **from an industry you know.** Don't write about industries you don't know. It has to be somewhere you can see conditions change.

> Where regulation changed: ______ Where technology substituted: ______ Where customers moved: ______ Suppliers who can't combine: ______ What the large side cannot do: ______

They don't all have to fill in. **One line filled in strongly is the starting point.**

And next to the line you filled, write one more thing.

> The reason this place is empty is ______.

If the reason reads *because nobody thought of it,* it's usually wrong.

When and how the conditions changed is what has to be written there for it to be a real entrance.

Part Four

Chapter 15 · Twenty-Five Boxes — Making Ideas by Combination

◆ Creativity is not something that occurs to you

Ask how to get new business ideas and the answer is usually this. Stay alert to problems, note down what annoys you, read a lot.

Not wrong, and impossible to execute, because you can't know when it will occur to you.

This chapter uses a different method.

> **Don't wait for it to occur. Write out every combination and choose.**

The material is already in this book. Part One's **five types of moat** and Chapter 14's **five inverted entrances.**

Five times five is twenty-five. **Twenty-five questions generate themselves.**

◆ The common misconception — you need one good idea

People think the job is picking one idea well.

Half right.

Picking one in the end is correct. **But choosing from one is not choosing.**

With nothing to compare against there's no basis for judging good or bad.

And the first idea that occurs to you is usually **the most familiar one,** not the best one.

It occurred to everybody else too.

> **Better to sweep twenty-five and keep three than to**

polish one for a long time.**

◆ Draw the grid

Part One's five types down the side, Chapter 14's five entrances across the top.

	Regulation changed	Tech substituted	Customers moved	Suppliers scattered	Large side can't
Economies of scale					
Network effects					
Switching costs					

	Regulation changed	Tech substituted	Customers moved	Suppliers scattered	Large side can't
Intangible assets					
Cost advantage					

The question in each cell is always the same sentence.

> **"If I plant the ______ moat in the space opened by ______, what business is that?"**

For example, **[switching costs × regulation changed]** reads like this.

> If the records of people who have to comply with a new rule accumulate on my side, would they be unable to move even after they've finished complying?

[intangible assets × suppliers scattered] reads like this.

> If I combine scattered producers, and the combiner's name becomes the guarantee of quality, does it get harder over time for anybody else to combine them instead?

One sentence per cell like that.

It didn't occur to you. It came out of a position.

◆ What the empty cells tell you

Filling the grid, some cells **don't fill well.** That's information.

Start with the columns down the side.

The economies of scale and cost advantage rows usually don't fill, because they need capital.

The story the closing takes up shows up here in advance.

The switching costs and intangible assets rows fill in most cells, because those two moats are planted with time and design rather than money.

Now the rows across.

The "large side can't" column fills in almost every cell, because every industry has things a large company structurally cannot do.

The "regulation changed" column fills only in industries you know. From outside you can't see when or how rules change.

> **A grid failing to fill isn't a shortage of imagination. It's that combination not fitting your conditions.**

◆ How to cut it to three

With twenty-five cells filled, now reduce. Three filter questions.

One. Can you write, in one sentence, why this space is empty right now?

If you can't, drop it. Exactly as Chapter 14 said. *Because nobody thought of it* is not a reason.

Two. Can you say right now where you'll meet the first ten customers?

If you can't, drop it.

That's a cold criterion, and Book One's Chapter 1 question returns here. **Who actually pays?**

If you don't know where to find that person, box one isn't filled yet.

Three. What accumulates while you do this?

If nothing accumulates, drop it.

Work hard and start from zero again next month and a moat will never form. That's Chapter 16's subject.

Cells that pass all three are usually two or three out of twenty-five. **That's enough.**

◆ Three ways to twist a combination

Sometimes the grid fills and every answer is ordinary. Three methods for that.

One, layer them.

Use two cells at once rather than one.

Chapter 4 showed intangible assets built in several layers. Layered, it becomes much harder to copy.

> One layer is easy to copy. **Three layers have to be copied all three.**

Chapter 4 also showed each layer has a different lifespan. **A layer made by rule disappears when the rule changes; a layer stacked by time doesn't.**

Two, invert it.

Turn what looks like a weakness into a condition.

Being small means there's a lot you can't do. And as Chapter 10 showed, there are just as many things **only a small operator can do.**

There are things you can't do because you're slow, and things that require being slow.

> **Try rewriting "we can't do it because we don't have ______" as "we can do it because we don't have ______."**

If the rewrite makes sense, that's a position. If it doesn't, it really was a weakness.

Three, narrow it.

The most reliable method and the least used.

Narrow the same idea to **one region, one profession, one situation.**

Narrowing shrinks the market. And narrowing improves three things at once.

- Where to meet the first customers becomes obvious
- Large companies stay out, **because it's too small to be worth their overhead**
- A name accumulates in that narrow place. The intangible asset attaches quickly

Starting narrow and widening is far easier than starting wide and narrowing.

A name built in a narrow place transfers sideways. A name never built in a wide place has nothing to transfer.

◆ The limits of this method

Stated honestly. **The grid makes ideas. It guarantees nothing.**

Chapter 13 already set out what this book can't see. Quality of execution, people, timing, luck. The grid tells you none of it.

So the grid has one role.

> **It gets you out of the state of having only one thing to choose from.**

With only one, you didn't choose it. You got stuck with it.

◆ To sum up

- Don't wait for creativity. Write out **five types × five entrances = twenty-five cells** and choose.
- Each cell's question is always the same. **"If I plant this moat in this entrance, what business is that?"**
- **Empty cells are information too.** The two rows requiring capital never fill well.

- Filter with three questions: **why it is empty, where the first ten customers are, what accumulates.**
- When it's ordinary, **layer, invert, narrow.** Narrowing is the most reliable of the three.

◆ Try It Yourself

Draw the grid. Don't try to fill all twenty-five — **fill only the cells that fill from an industry you know.**

With about five filled, run the three filters.

> 1. Why is this space empty right now? ______
> 2. Where do I meet the first ten customers? ______
> 3. What accumulates while I do this? ______

Apply **narrowing** once to whatever survived.

> What if I sold this only to ______?

Put a region, a profession or a situation in the blank.

If the faces of ten first customers come to mind when you do, you narrowed it correctly.

Chapter 16 · The Two Moats You Can Plant With No Capital

◆ Moats you buy with money, moats you plant with time

Look again at Part One's five types and they split in two.

Some you buy with money.

Economies of scale need equipment and volume, and cost advantage usually has investment in front of it.

The capacity business in Chapter 5 was that. The cost advantage came from what had been laid down first.

Some you plant with time.

Switching costs arise once a customer's records accumulate. Intangible assets arise once trust accumulates.

Neither can be brought forward with money.

And one fact this book has tracked attaches here, confirmed in Chapter 12.

As AI becomes common, the first two are losing value and the second two are gaining it.

Which arranges the situation for somebody with no capital like this.

> **The moats you can't buy are falling in value. The moats you can plant are rising in value.**

This chapter is about **how to plant those two.**

◆ The common misconception — make something good and it accumulates

People think good quality creates regulars and that becomes a moat.

Half right.

Quality is necessary. Quality alone doesn't accumulate.

Good quality makes people **come back.** Coming back and **being unable to leave** are different things.

Quality creates satisfaction, and satisfaction moves when something better appears.

> **A moat doesn't arise from doing well. It arises from designing.**

Doing the same work, there's a way that accumulates and a way that doesn't. That difference is this chapter.

◆ How to plant switching costs

Chapter 3 said this moat is made from three materials. **Learned, accumulated, blocked.**

One has to be cut first.

Don't use blocked

That was Chapter 3's conclusion.

> **A switching cost built by blocking supplies the evidence against itself.**

The farm equipment company paid that price. A moat built by blocking the exit feels like unfairness to the customer, and that anger goes to regulation.

So decide it at design time.

> **Export stays open. Always.**

That looks like a loss and it isn't. Three reasons.

- A customer retained by blocking is **a customer looking for a reason to leave.** Not a good customer
- Leaving it open makes **arriving easier too.** Fear of being unable to get out blocks entry

- If they don't leave with the door open, **that's a real moat.** And it doesn't break

Design the accumulation from day one

The most practical part.

Doing the same work, there's **a way records stay on the customer's side** and **a way they stay on yours.**

Most people pick the first without thinking, because it's easier.

- Take requests over a messenger and finish → nothing accumulates
- Take requests in a set format and record them → **it accumulates**

The second is slightly more of a hassle at first. Six months later it is completely different.

That customer's preferences, exceptions, what you did last time — all of it is on your side.

> **Move somewhere else and that person has to explain from scratch.**

That's a switching cost, and **it costs nothing.** What it costs is **a decision on day one.**

One more thing. Accumulated records **get stronger the more you show them to the customer.**

Hidden, they're just your files. Shown, **the customer learns what those records are worth.**

Plant "learned" by teaching

A customer getting used to your way is also a switching cost.

Be careful here, though. **Making it hard so they have to learn is close to blocking.**

There's one healthy version. **Teaching.**

Teach them how to use it well and they get fluent, and the fluency itself becomes an asset.

◆ How to plant intangible assets

Chapter 4 said this moat **is only bought with time.** Money can't buy it.

Which means **there is no method other than starting today.**

There's no way to stack it fast. There are **mistakes that make it stack slowly.**

One. Start narrow

Chapter 15's narrowing earns its keep here.

A name **stacks faster the smaller the denominator.**

A hundred people knowing you nationally is far weaker than **a hundred people knowing you in one**

neighborhood — because inside that neighborhood that's effectively everybody.

And a name built in a narrow place **transfers sideways.** The reverse doesn't work.

Two. Reduce the number of promises and raise the share kept

Trust accumulates on the **share** of promises kept, not the **count.**

So the most dangerous thing early is **promising more than you can do.**

Five promises with five kept is stronger than ten promises with eight kept.

That's what Chapter 10 showed. This is the place growth breaks. Take everything when orders pile in and the ratio breaks.

Three. Decide in advance what happens when you get it wrong

The most valuable item in intangible assets.

Problems will happen. What you'll do then has to be decided **before the problem happens.**

Decide it in the moment and you'll decide in your own favor, and the other side knows it.

> **One problem handled well builds more trust than ten times with no problem at all.**

Because with no problem, there's no way to find out what kind of person somebody is.

Four. Leave a record

The weakness of intangible assets is that **they're invisible.**

Somebody who has done this for ten years and somebody who started yesterday look the same from outside.

So **leave a record of what you did.** What it was and how you solved it. Kept as evidence, not as a boast.

The change from Chapter 12 attaches here.

As tools become common, **the finished object no longer tells you who made it.**

And then the side that has **a record of who made it** gets the price.

◆ Layering the two

The two are far stronger **layered** than planted separately. And the layering is natural.

> **Serve better on the basis of the accumulated record, and the better service accumulates as record.**

Once that loop turns, anybody copying you needs two things at once. Records and time. **Records can be copied. Time can't.**

◆ Some things can't be planted

Stated honestly. **There are businesses these two moats don't work for.**

- Transactions that happen once, so no record can accumulate
- Structures where you never find out who the customer is
- Markets where price is the only selection criterion

In those positions this chapter's method doesn't apply.

There, first look at **changing the transaction rather than changing the business.**

Can a one-time purchase become a repeat one? Is there a route to knowing the customer?

If it can't be changed, that position **belongs to whoever has capital.** Accept it and move to another cell.

◆ To sum up

- The five types split into **two you buy with money** and **two you plant with time.**
- AI lowers the value of the first two and **raises the value of the second two.**
- In switching costs, **don't use blocking.** If they don't leave with the export open, it's real.
- **Which side records accumulate on is decided on day one.** It costs nothing but a decision.
- For intangible assets: **narrow, promise less, decide the failure handling in advance, keep a record.**
- Layer the two and **records can be copied, time can't.**

◆ Try It Yourself

Write two lines about what you do now, or what you intend to do.

> **Of what I did last month, what will still be there next month is ______.**

If there's nothing to write, **nothing is accumulating.**

Then write the next line.

> **One thing I'll start keeping from today is ______.**

It doesn't have to be grand. Starting to write customer requests in one place. Recording who you did what for, with the date.

Those two become a moat in six months. Don't start today and in six months there still won't be one.

Chapter 17 · Ninety Days — An Execution Plan

◆ Not a plan, dates

By this point the materials are all here.

You have entrances (Chapter 14), combinations (Chapter 15), and something to plant (Chapter 16).

What's left is when to do what.

There's no new concept in this chapter. Instead there are **dates.**

Ninety days split into three segments, with the questions each segment has to answer fixed in advance.

Why ninety days? Two reasons.

- **Shorter and nothing accumulates.** The two moats in Chapter 16 take time
- **Longer and it doesn't end.** A plan with no visible end isn't a plan, it's a condition

◆ The common misconception — start once you're ready

You hear a lot of *I can't start yet, I'm not prepared.*

Half right.

Some things need preparation. In most cases, though, **people try to find out through preparation what preparation cannot tell them.**

However much market research you do, **whether that person will pay does not come out of it.**

Whether they pay is learned by naming a price and finding out.

> **You have to separate questions answerable at a desk from questions only answerable outside.**

That's the principle of the ninety-day plan. **Pull the questions only answerable outside to the front.**

◆ First thirty days — confirm

The goal of this period **is not to build.** Nothing gets built yet.

Task one. Fill the five boxes as hypotheses

Write five lines on one page.

> Customer: who pays Value: what they're paying for Payment: how and when it's collected Moat: why nobody can take it Fault line: where it breaks

They don't all have to fill in. Exactly as Part Four's opening said.

A blank isn't a stop sign. **It's a marker of what to confirm first.**

In the blank, write instead **how you'll find out.**

Task two. Meet ten people

This is the real work of the first month. Chapter 15's second filter question gets executed here.

You're not selling, you're asking. Three things only.

> 1. How do you handle this at the moment?
> 2. Which part of that is the most annoying?
> 3. Have you ever spent money or time because of it?

The third is the key. Book One's Chapter 1 question is right here.

Somebody who says it's inconvenient and somebody **who has spent money** are completely different people.

If three of ten answer yes to the third, keep going. **If none do, close that cell and move to another cell in the grid.**

Task three. Write down the conditions for quitting

The strangest item in this book. Before starting, write **the conditions for quitting.**

> **If, at ninety days, ______, I stop.**

Why write it in advance? Because later you can't.

Once time and money have gone in, **the sunk cost clouds the judgment.**

That isn't a question of willpower. People are built that way.

Chapter 10 showed large companies unable to stop. The same thing happens to individuals.

A condition written in advance protects your future self.

The condition has to be specific. *If it isn't going well* is not a condition.

- If fewer than ___ people have paid
- If fewer than ___ people have bought a second time
- If the hours going in each week exceed ___

◆ Second thirty days — sell

Not a building period. **A selling period.** The order matters.

Task one. Sell in the smallest possible form

Don't build a finished product. Build **the smallest form you can charge for.**

There's a common mistake here. **Giving it away free to see the reaction.**

A reaction to free is not information. People accept anything that's free.

> **The real answer only appears at the moment you name a price.**

Being turned down is fine. Rejection isn't failure. **It's the cheapest information there is.**

Task two. Start accumulating from day one

Chapter 16 gets executed here. From the moment you have a first customer, keep records.

- Who, when, what they asked for
- How you handled it
- What you learned about them

Starting this with three customers and starting with thirty are different.

Start at three and by the time you reach thirty you have twenty-seven customers' worth.

Start at thirty and the first thirty are gone forever.

Task three. Raise the price once

A good experiment for the second month.

Raise the price for new customers only. Then watch.

- They still buy → the price was low
- It stops dead → price was the only reason. **A signal that there's no moat**

Exactly as Chapter 3 said. **The size of the switching cost is the ceiling on pricing power.**

Raising the price shows you where that ceiling is.

◆ Last thirty days — decide

Task one. Fill the five boxes again

Take out the page you filled with hypotheses in the first month. This time fill it **with what you experienced.**

Laying the two pages side by side is this ninety days' account.

Which box turned out different from what you thought is the whole of what you learned.

The box most often wrong is box one. **The person you thought would pay and the person who paid are different.**

That's also where the author was repeatedly wrong in the grading section.

Task two. Build a fault line signal board

For each of Part Two's five paths, write one line on **what you'd look at to know.**

Fault line	The signal I'll watch
Regulation changes	
Technology substitutes	
Customers move	

Fault line	The signal I'll watch
Suppliers revolt	
Growth breaks it	

And **look at this table once a quarter.** Five lines takes ten minutes.

That's what the companies in Chapter 10 failed to do.

It wasn't that there were no signals. **They hadn't decided where to look, so they didn't look.**

Task three. Compare against the condition you wrote on day one

Take it out and read it. Then pick one of three.

- **Cleared the condition** → continue. Plan the next ninety days
- **Fell short** → stop, as decided in advance
- **Borderline** → do it once more. **But if it's borderline again, stop**

The third is the dangerous option, which is why it has a condition attached.

Use "just once more" more than twice and it isn't a condition, it's a habit.

◆ Stopping is also a result

There's a reason for closing the chapter this way.

Record stopping as failure and people defer the judgment **in order not to stop.** Then years go by.

Run ninety days properly and stopping still leaves something.

- The experience of filling the five boxes from lived experience
- Conversations with ten or more customers
- Having named a price and been turned down
- **What you'd do differently next time**

That beats ten books. And **going to the next cell doesn't start from zero.**

> **The purpose of ninety days isn't success. It's arriving at a state where you can judge.**

◆ To sum up

- Split ninety days into three. **Confirm · sell · decide.**
- Don't build in the first month. **Meet ten people and ask whether they've ever spent money on it.**
- Before starting, **write the quitting condition as a number.** Later you can't.
- Don't give it away in the second month. **The real answer only comes from naming a price.**
- From the day you have a first customer, **accumulate records.** Start later and the earlier ones are gone.
- In the third month, **lay the hypothesized five boxes beside the experienced five boxes.**

- **Stopping is also a result.** Design it so stopping still leaves something.

◆ Try It Yourself

Open a calendar and mark ninety days from today. Then write three lines.

> **The ten people I'll meet in the first thirty days, I'll find at ______. The smallest form I'll charge for in the second thirty days is ______. At ninety days, if ______, I stop.**

You won't want to write the third line. That's normal.

That reluctance is exactly the feeling that clouds the judgment later.

Write it and photograph it, or put it in an envelope with the date on it.

Taking it out again in ninety days is everything this book is asking of you.

Closing — The Moats You Can Actually Build

◆ Gathering eighteen threads

Every chapter in Book One's Part Two ended with a section called *Could you build this where you are?*

Looking at Spotify, and looking at Norwegian salmon, it asked the same question at the end. **Can this structure be used here?**

Eighteen pieces are lying scattered. Here they get gathered into one.

The question is this.

> **For somebody starting without capital, in a market that isn't the biggest one, which of the five types is open?**

◆ First, the two roads that are closed

Start honestly. Two of the five are hard.

Economies of scale.

As Chapter 1 showed, this moat is made by volume.

To compete on scale you need a large market from the outset, and without one you have to go outside — where somebody with scale is already standing.

Cost advantage.

As Chapter 5 showed, this moat is replicated fastest of the five. And the position of leading on manufacturing cost has already moved elsewhere.

Don't read those two paragraphs as pessimism.

It's the work of erasing the blocked roads from the map. Erase the blocked ones and the open ones become visible.

◆ The half-open road

Network effects.

Chapter 2 produced a rule.

> If even one side of a network is tied to a physical location, the network cannot leave that location.

The Kenyan payment network is extremely strong inside that country and cannot cross a border, because the agents are physically there.

Most networks built in a smaller market meet the same problem.

If one end is a shop in that country, or a person searching in that language, that's the ceiling.

A strong moat with a low ceiling. That's the precise character of this type.

There's an exception. **When both ends are online, there is no border.**

The store-builder company in Chapter 2 was that. Neither developers nor merchants had to be from anywhere in particular.

◆ The two roads that are open

Switching costs.

Chapter 3 said this moat is made of three materials. Learned, accumulated, blocked.

The first two **don't depend on language.**

Records accumulated in business software are hard to move whether they accumulated in one language or another.

A tool a developer has learned sits in the hands regardless of which country built it.

And building this moat doesn't require a large domestic market.

When one customer is deeply tied in, that depth has nothing to do with market size.

The reservation platform in Chapter 2 made exactly this move. Shifting from connecting to operating, a moat trapped inside a border crossed it.

Intangible assets.

Chapter 4 said this moat only stacks with time. Money can't buy it. And market size has almost no place to enter this type.

Smaller countries have already proven this type sells into world markets. Which products those were doesn't need writing down.

As Chapter 11 taught, write down the names doing well right now and the sentence ages within a few years.

What matters isn't the names but one fact.

It's proven that what's made of time and trust sells regardless of how big the country is.

◆ And the value of those two roads is rising right now

Up to here it could read as a modest suggestion. Do what's left over.

Put Chapter 12 against it and the story changes.

As artificial intelligence becomes common, the five types are being re-priced.

Type	Direction of value	For a small starter
Economies of scale	**Falling**	The road that was closed
Cost advantage	**Falling**	The road that was closed

Type	Direction of value	For a small starter
Network effects	Unchanged	The half-open road
Switching costs	**Rising**	**The open road**
Intangible assets	**Rising**	**The open road**

The two closed roads were losing value anyway, and the two open roads are gaining it.

As computation costs fell sharply, what used to be buyable only with scale became buyable without it.

At the same time, as more of it became fabricable, **only what can't be fabricated keeps its value.**

Recover Chapter 12's other conclusion here too.

There used to be a great deal you couldn't do without being large, and that range has shrunk.

Starting with a small team is not as disadvantaged as it was.

◆ But a better tool doesn't create a moat

The other side has to be made clear here.

The fastest-disappearing companies in Chapter 12 were also companies built on AI. The ones with a thin shell wrapped around a model.

Read through the five boxes, the cause of death was plain. **Box four was empty.**

And nobody asked about it while revenue was rising.

> **The tool getting better and a moat existing are different things. If anything, the more common the tool, the more the only moat is what the tool can't make.**

So this book's suggestion isn't *start an AI company.*

It's that in the space where AI lowered the barrier of scale, start stacking what only stacks with time.

And Part Four exists so that *start stacking* doesn't end as a vague phrase.

Exactly as Chapter 16 showed. Switching costs start with **deciding on day one which side records accumulate on,** and intangible assets start with **keeping promises in a narrow place.**

Both cost **decisions and time** rather than money.

That the two roads open to a founder without capital happen to be those two, and that those two happen to be **the kind you can plant today** — the overlap of those two facts is the most useful thing this book found.

◆ What changes when more people can read this

This could sound grand, so it gets written carefully.

Not everybody needs to run a business. This book doesn't recommend founding one. It covers how to read one.

One thing can be said.

When more people know where money comes from and where it flows, the place they're in changes.

Employed, working somewhere, or running something — somebody who can fill in the five boxes for where they stand, and somebody who can't, make completely different choices.

And some of them will start something themselves. They'll start small and fail small, and a few will start again.

As Chapter 12 confirmed, lifespan is not a function of size.

Starting small isn't an embarrassing condition. It's a condition that keeps getting better.

The belief that you have to start big was in fact the oldest misconception, and that misconception blocked more starts than anything else.

◆ Closing two books

Book One gave you **how to read.**

Book Two gives you two things. **That you have to keep asking,** and **what to build.**

With only the first you get sharp eyes. Somebody with only sharp eyes never starts anything, because every plan shows a blank.

Which is why Part Four exists.

If what remains after two books is knowledge, this book did half its job. A posture and a date are what should remain.

> **No moat is permanent. So keep asking, yourself, what is protecting you now, and when that thing gives way.**

> **And don't stop at asking. Plant one thing today, and take it out again in ninety days.**

If even one more person points this question at their own work, the two books have done their part.

If even one of them actually starts something, then the two books have done what they set out to do.

◆ Try It Yourself

The last exercise in this series. One sheet of paper is enough.

Write down what you do now, or what you intend to do. Then write box four in one line.

> In what I do, the thing nobody can take is ______.

If it's empty, write that it's empty. That's the starting point. Almost everybody is empty at first.

Then write one more line.

> What I can stack from here — is it **switching costs** or **intangible assets?**

Pick one of the two, and write down the smallest thing you can do today.

Starting to keep a record of one customer. Showing something to one person. Either is fine.

That one line is the first stroke of the box four you fill in today.

What only stacks with time can't be made fast. **And you can start late, and if you start today it stacks from today.**

Finally, write one more thing. The one Chapter 17 asked for.

> Today's date: ______ / Ninety days from now: ______

Fold that paper and put it somewhere.

Taking it out again in ninety days is this book's last exercise.

Now close the book and go do that one thing.

Finishing Two Books — A Short Retrospective

◆ Why five boxes?

For this section I'll use the first person.

I didn't study business. I've never run a large company.

This frame didn't come out of a lecture hall. **It came out of meeting people.**

Working as a social worker and later as a missionary, I traveled through a number of countries. And I kept seeing the same scene.

Somebody worked all day and had nothing left over. Somebody else worked similarly and got better off every year.

It wasn't a difference in diligence. If anything the first one was often the harder worker.

The difference was in the position the work sat in.

Not what gets made, but who buys it, how they pay, and why nobody else can take it. That position separated the outcomes.

The same labor, placed on a different structure, became a completely different life.

Organizing that into five questions later became this series.

◆ I got it wrong plenty of times

Before writing the books I tried running businesses a few times. Some worked and some didn't.

Looking back, the ones that didn't had something in common.

It wasn't that I didn't work hard. Those were the times I worked hardest.

Box four was empty.

Somebody else could do exactly what I was doing and I never asked about it, because revenue was coming in.

I was standing where the companies in Chapter 12 stand.

"Box four is empty" is a question nobody asks while things are going well.

At the front of this book, grading Book One, I wrote that I was wrong three times.

Writing that section, the old work kept overlapping with it.

People have habits in how they get things wrong, and those habits don't change easily.

The one thing that can change is the habit of checking afterward.

The grading section is that habit made into a piece of a book. It seemed right to do it myself before recommending it to anyone.

◆ What changed while writing two books

Starting out I thought this series was a book about **how to analyze.**

Having written it, it's a little different.

What remains after two books isn't analysis. It's **a posture.**

- Ask while things are going well. When they aren't, it's already late.
- Don't trust conclusions. Write down conditions.
- And check later whether you were wrong.

Those three aren't only for business.

At work, in choosing a direction, even in judging a person, the same method applies, **because it's the habit of asking what something is resting on.**

◆ There is no third book

Book One said this.

> Fifty-four cases split across two books and it's finished. Adding cases forever is not what this book is trying to do.

That promise is kept. All thirty-six went into this book, and it ends here.

Grow the cases to a hundred and the hundred-and-first company is still the reader's job.

Book One's opening said this about case collections.

> **You received fifty fish. You didn't learn to fish.**

I hoped this series wouldn't betray that sentence.

Two books is enough for the tool to sit in the hand. After that it's whatever company is in front of you.

◆ Where I am now

I'm currently preparing to live as a digital nomad.

Not because of some grand plan.

Writing this book, I worked out for myself what moats can be built without scale, and it seemed right to try it myself first.

Chapter 12 says lifespan is not a function of size. The closing says the belief that you have to start big was the oldest misconception.

If the person who wrote those sentences doesn't live by them, the sentences lose their force.

So I'm starting small.

This book is one of those small things.

No publisher, no capital. Only time and checking went into it.

The type Chapter 4 covered is exactly that.

◆ To the reader

There was one thing I wanted from these two books.

That somebody who finishes them can take apart a company that isn't in them. And that a few won't stop there and will start something themselves.

I hope whoever is reading this is one of those few.

It's fine to start small. It's fine to fail. **People who have failed small don't fail large.**

Write down one line today. What it is, in your work, that nobody can take.

If it's empty, write that it's empty. **The moment you see that blank is the start.**

Thank you for reading.

How This Book Was Made

◆ One rule: nothing invented

This book contains numbers belonging to real companies and countries.

Numbers like that are easy to invent, and invented ones read plausibly. And once one is wrong, it can't be taken back.

So Book One's rule was left in place unchanged.

> **A number that couldn't be confirmed doesn't go in.**

Wherever a number was needed, the source and the specific line to look at were written down first. Anything that stayed unconfirmed was deleted as a whole sentence.

◆ How far did the checking go?

From here is the most uncomfortable part of this book. Which is why it comes first.

This book grades other people's judgments and the author's own.

Grading is especially easy to fake, **because once you know the outcome everything reads as though it had been announced in advance.**

So the rule was set at the start. **Grade on primary sources only.**

Filings, court decisions, statutes, government announcements — open the originals one by one and compare.

That rule was not fully kept.

In the environment where the manuscript was written, those documents were not reachable.

In practice the work became **cross-checking published reporting and announcements against each other.**

That is not primary source verification. It's a different thing.

So this is how it was handled

Passing over a broken rule is the same as having no rule. It was handled three ways.

One, where the cross-check contradicted the manuscript, the manuscript was changed.

Nine places contradicted. Among them:

- What the European court found unlawful was not the body's **monopoly position **but its** prior-approval rules.** Chapter 9's argument hung on that spot.
- One country's corporate tax revenue was, on the headline number, **lower than the previous year.** It only rises once a one-off back-tax payment is

excluded. Quoting the headline number alone would have made the argument read backwards.

- The reason given for the rise in music streaming's margin was **a commentator's interpretation, not the company's explanation.**
- In the Japanese long-lived companies passage the denominator was wrong, and on top of that there was **a leap: "the other ninety-eight disappeared."** The rest are not companies that disappeared. They're simply younger companies.

Two, numbers with no basis were deleted.

Four of them. One was **a subheading** in Chapter 8.

That chapter opened with *A hundred and forty thousand vanished in one quarter*, and that number could not be confirmed anywhere.

The subheading was changed and the number removed from the opening paragraph. A confirmable figure was placed later instead.

Three, what didn't contradict was not called "confirmed."

It was recorded as **"no evidence of being wrong turned up."** Those are different.

And blurring that difference is exactly what this book criticizes Book One for while grading it.

The other three rules were kept

- **Book One's sentences were quoted unchanged** and the outcome attached afterward. Reverse the order and it becomes hindsight.
- **Where it couldn't be confirmed, "can't be judged" was written.** That's also a result.
- **The wrong ones were written before the right ones.**

Leaving one of eighteen as "not confirmed" in the grading section, and failing again to fill the thirteen numbers left out of Book One, is not laziness. It's this rule.

To the reader

This book teaches how to read a company sceptically.

If the author inflates his own level of verification while doing that, the whole book collapses.

So the above is written rather than hidden.

Knowing how far something was checked and where the checking stopped is part of reading the five boxes too.

◆ The wrong ones come first

The order in the grading section had a rule too. **The wrong ones before the right ones.**

Put the right ones first and the wrong ones that follow read as excuses.

And there was far more to learn on the wrong side.

The eight right ones confirmed only that the tool works.

The three wrong ones revealed **which box had been filled in wrongly and how,** and that resolved into one rule that changed how Parts One and Two are written.

◆ Written to stand up without the numbers

The style follows Book One. It's written so that **the structural explanation doesn't lean on the figures.**

Even without confirming *what percentage this company's cost ratio is*, the explanation still holds: *in this segment freight is proportional to distance, so scale doesn't bite.*

And an explanation written that way transfers to other companies unchanged.

A number confirms an explanation. It isn't the explanation.

◆ Company names are not used as conclusions

One more thing. The author tried to keep the lesson from Chapter 11.

A rigorously chosen list of "great companies" didn't survive twenty-five years.

So a book offering company names as conclusions goes the same way.

Which is why the closing's suggestions point at **moat types rather than companies.**

A sentence praising a name doing well right now ages within a few years.

For the same reason the third case in Chapter 8 reaches no conclusion.

Maturity and taste-driven exit can't be separated with the available material, and **writing what you don't know as though you knew it was the thing this book most wanted to avoid.**

◆ On the English edition

This edition is a translation and adaptation of the Korean original.

Adaptation meant more than language. Where a chapter's argument depended on a company or a market a reader outside Korea would have no way to picture, the case was rebuilt around one that carries the same structure.

The frame, the order and the conclusions are unchanged. **Only the examples that would have failed to land were replaced.**

The closing chapter is the one place where the change is larger than a swapped example.

The Korean edition asked what moats can be built in one particular country. This edition asks the same question of anybody starting without capital in a market that isn't the biggest one, because that is the same question with the boundary drawn wider.

◆ If something here is wrong

There will be passages that are wrong anyway. A source misread, a fact that changed in the meantime, an interpretation carried too far.

Book One said "it will be corrected in the second book," and it was.

This time that can't be written. **Because there is no third book.**

So it's written this way.

> **If you find one, please say so. It will be corrected in a revised edition.**

Not promising what can't be promised is one of this book's rules too.